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Energy | North America

Refreshing the Price Deck

WTI has fallen to ~\$72, oil E&Ps back at pre-conflict levels, and Majors -9% below it. We refresh our estimates for the latest prices. FCF yields are still strong, with '27 median of 12% for oil E&Ps, while intrinsic valuations only reflect ~\$64 WTI. Risk-rewards screen better post the pullback.

Key Takeaways

- WTI oil has fallen another ~15% since the MoU, now back to ~\$72/bbl. Alongside softer crude, energy stocks have also moved lower
- We update our price deck to 6/19 strip, WTI assumption falls 12% in '26 while '27 stays at \$70. Our EBITDA ests are -7% vs consensus for FY26 and -6% for '27
- For 2Q, our EBITDA ests are in-line with consensus for oil producers and 8% below for gas. We also forecast above consensus 2Q EPS for XOM
- At \$70, our oil coverage offers median '27 FCF yield of 10% (12% US E&Ps, 9% Majors, 10% Canada). Valuations reflect ~\$64 WTI. '27 FCF yields of 9% for gas
- We retain our preference for Majors and E&Ps with positive rate of change (DVN, PR & CVE). LNG producers VG and Cheniere also screen attractive.

Have stocks corrected too much? Since the US and Iran announced a memorandum of understanding (MoU) on June 14, oil prices have declined another ~15%. WTI now sits at ~\$72, only slightly above pre-conflict levels. Alongside softer crude, energy stocks have also moved lower. Notably, oil E&Ps are now trading back at pre-conflict levels and US Majors -9%. While uncertainty persists around the macro picture, we do think the risk-reward has improved post the pullback. FCF yields are strong, with a 2027 median of ~10% at prices near strip, and stocks intrinsically reflect ~\$64 WTI - below futures and our long-run \$70/bbl price expectation. We view the recent pullback as an opportunity to add exposure to Majors and high-quality E&Ps.

- **Crude Oil.** Flows through the Strait of Hormuz have risen sharply over the last few weeks as oil tankers that were previously trapped behind the waterway make their way to market. Vortexa shows oil exports from countries behind the Strait exceeding 10 mb/d over the last week, approaching ⅔ of pre-conflict levels. This includes a surge in Iranian flows, which have also benefited from eased sanctions and the lifting of the US blockade. Globally, US exports remain historically high and Chinese imports low, both continuing to serve as important buffers for the seaborne oil market. Still, global inventories have already drawn substantially. Fully restoring regional production and refilling storage will take time. See the latest from MS Strategist Martijn Rats here: ['Let the Oil Flow'](#).
- **Global Gas & LNG.** JKM (Asia LNG) prices have fallen back toward \$15/mmbtu, well off the highs but still up >50% YTD. Recent statements from QatarEnergy point to ~50% recovery in export volumes in about one month

MORGAN STANLEY & CO. LLC		
Devin McDermott		
Equity Analyst and Commodities Strategist		
Devin.McDermott@morganstanley.com	+1 212 761-1125	
Joe Laetsch, CFA		
Equity Analyst		
Joe.Laetsch@morganstanley.com	+1 212 761-8804	
Helen Lin		
Research Associate		
Helen.Lin@morganstanley.com	+1 212 761-0766	
Svetlana Do		
Research Associate		
Svetlana.DO@morganstanley.com	+1 212 761-2409	
Justin W Latran, CFA		
Research Associate		
Justin.Latran@morganstanley.com	+1 212 761-2869	
Jacqueline M Kenny		
Research Associate		
Jacqueline.Kenny@morganstanley.com	+1 212 761-2253	
Zackary C Warden		
Research Associate		
Zackary.Warden@morganstanley.com	+1 212 761-4164	

EXPLORATION & PRODUCTION	
North America	
Industry View	In-Line
INTEGRATED OIL	
North America	
Industry View	Attractive

See our price target changes in [Exhibit 33](#)

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and 80% after two months - a recovery of everything except the damaged trains. This still leaves a very short window to normalize inventories before next winter. Over the last month, global consumption has started to inflect higher again alongside summer weather & storage refill needs. We see some upside to 2H26 post the pullback, followed by a more balanced 2027. See more [here](#) and [here](#).

- **US Natural Gas.** Prompt Henry Hub prices have been range-bound in the low-to-mid \$3s for most of June. We still do expect a modest improvement in 3Q, supported by higher LNG flows & power burn. LNG exports in June so far are running ~0.3 bcf/d above the May average, with feedgas deliveries to Golden Pass reaching ~600 mmcf/d this week. That said, the outlook softens again into 2027 - reflecting associated gas growth & still-elevated Haynesville activity. That said, the silver lining of lower oil prices is that it could moderate associated gas risks. See more [here](#).

Softer prices, but valuations still attractive. We refresh our price deck and estimates using strip as of 6/19 (see [Exhibit 12](#)), lowering our FY26 WTI assumption to ~\$78/bbl (from ~\$88/bbl) with \$73 WTI for the back half of the year, while 2027 is unchanged at ~\$70. For integrated companies, US Gulf Coast refining margin assumptions are moving 22% higher in 2026. Our Henry Hub moves -8% lower for 2027. Overall, price targets move lower by -5% for oil E&Ps and -8% for gas names, but still imply 25% average upside. At prices near strip (~\$70 WTI), we estimate a median 2027 FCF yield of 10% across our oil coverage (12% for oil E&Ps, 9% for US majors, and 10% for Canada). Intrinsically, oil E&Ps reflect long-run WTI of ~\$64/bbl, ~6% below 12-month strip.

Preliminary 2Q outlook. Incorporating actual 2Q oil & gas prices and downstream margins, our quarterly EBITDA estimates are in-line with consensus for oil producers and 8% below for gas. We also forecast above consensus EPS for XOM.

Exhibit 1: Morgan Stanley Price Deck (Based on 6/19/2026 Strip)

MS Model Assumptions	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	103.54	77.80	76.72	84.75	74.52	75.00
WTI (\$/Bbl)	93.00	74.00	72.00	77.92	70.00	70.00
Henry Hub (\$/MMBtu)	2.90	3.20	3.50	3.66	3.50	3.75
Mont Belvieu NGL (\$/Bbl)	31.05	25.02	24.78	26.86	25.49	25.58
GC 321 Brent (\$/Bbl)	29.93	31.22	25.87	25.83	24.05	14.20

Prior MS Assumptions	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	112.00	103.12	92.71	97.26	76.05	75.00
WTI (\$/Bbl)	100.00	95.00	85.00	88.24	70.00	70.00
Henry Hub (\$/MMBtu)	2.85	3.20	3.60	3.67	3.80	3.75
Mont Belvieu NGL (\$/Bbl)	33.56	33.70	32.62	31.65	28.26	28.04
GC 321 Brent (\$/Bbl)	24.66	23.20	20.59	21.19	14.20	14.20

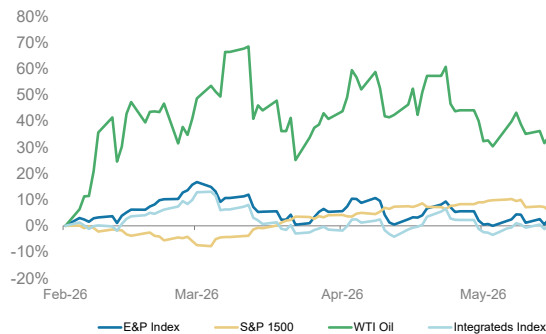
% Change	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	-8%	-25%	-17%	-13%	-2%	0%
WTI (\$/Bbl)	-7%	-22%	-15%	-12%	0%	0%
Henry Hub (\$/MMBtu)	2%	0%	-3%	0%	-8%	0%
Mont Belvieu NGL (\$/Bbl)	-7%	-26%	-24%	-15%	-10%	-9%
GC 321 Brent (\$/Bbl)	21%	35%	26%	22%	69%	0%

Source: Bloomberg, FactSet, Morgan Stanley Research estimates. Note: GC 321 Brent crack spread is unadjusted for RINs.

Key Charts

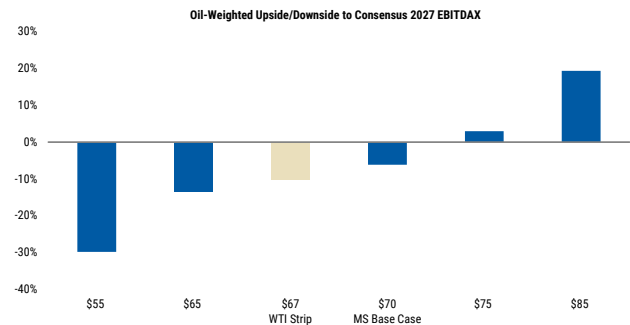
Exhibit 2: Oil E&Ps are now back to pre-conflict levels (including gas, the E&P sector is -5% below). The group has underperformed the broader market by ~12% over the same period.

Performance



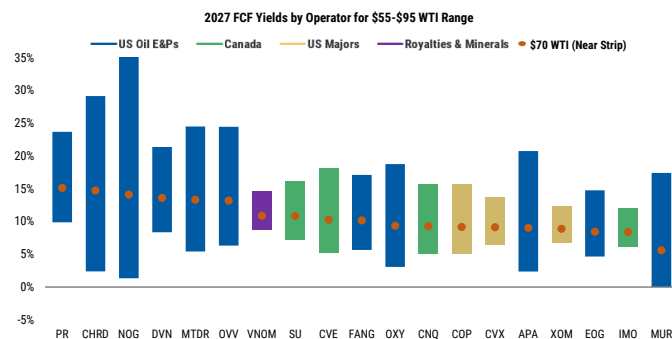
Source: Bloomberg, FactSet, Morgan Stanley Research

Exhibit 3: We estimate consensus is currently pricing in ~\$73 WTI based on 2027 EBITDAX forecasts, higher than the full-year 2027 strip price of ~\$67.



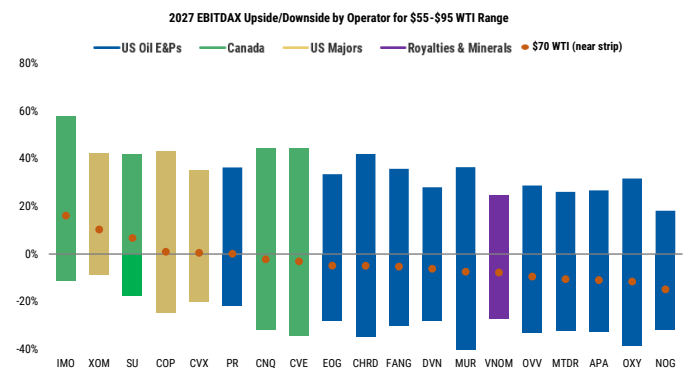
Source: FactSet, Morgan Stanley Research estimates

Exhibit 4: The median 2027 FCF yield for our oil coverage is 10% near strip (~\$70 WTI), 12% looking just at oil E&Ps. This would move by ~3% for every \$10 change in oil.



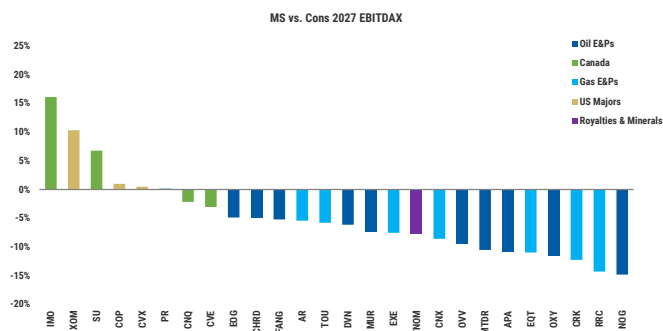
Source: FactSet, Morgan Stanley Research estimates.

Exhibit 5: At \$70 WTI, near strip, our oil coverage has 5% downside vs consensus estimates (7% downside for just oil E&Ps).



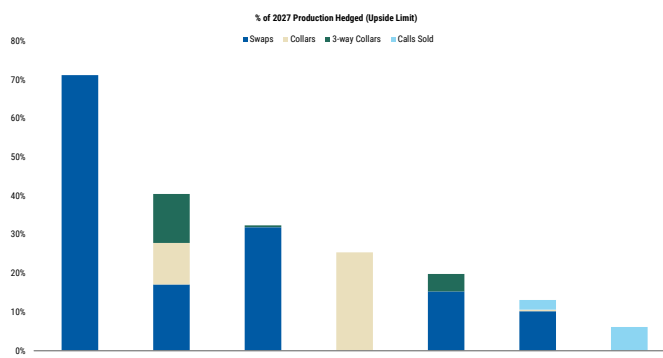
Source: Morgan Stanley Research estimates.

Exhibit 7: ...with 2027 EBITDA 6% below consensus.



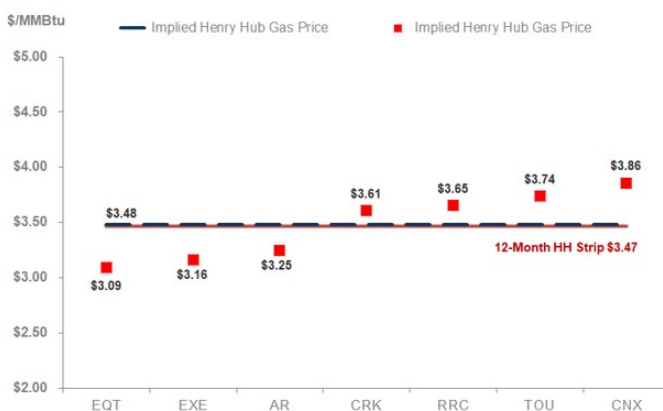
Source: FactSet, Morgan Stanley Research estimates. Note: Axis cut at 2%.

Exhibit 9: ...and ~30% for gas E&Ps



Source: Company Data, Morgan Stanley Research estimates

Exhibit 11: Gas E&Ps reflect an average Henry Hub price of ~\$3.50, at the 12 month strip.



Source: Bloomberg, Morgan Stanley Research. Note: close prices of 6.24.26

Price Target Changes

Exhibit 12: Morgan Stanley Price Deck (Based on 6/19/2026 Strip)

MS Model Assumptions	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	103.54	77.80	76.72	84.75	74.52	75.00
WTI (\$/Bbl)	93.00	74.00	72.00	77.92	70.00	70.00
Henry Hub (\$/MMBtu)	2.90	3.20	3.50	3.66	3.50	3.75
Mont Belvieu NGL (\$/Bbl)	31.05	25.02	24.78	26.86	25.49	25.58
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% Change	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	-8%	-25%	-17%	-13%	-2%	0%
WTI (\$/Bbl)	-7%	-22%	-15%	-12%	0%	0%
Henry Hub (\$/MMBtu)	2%	0%	-3%	0%	-8%	0%
Mont Belvieu NGL (\$/Bbl)	-7%	-26%	-24%	-15%	-10%	-9%
GC 321 Brent (\$/Bbl)	21%	35%	26%	22%	69%	0%

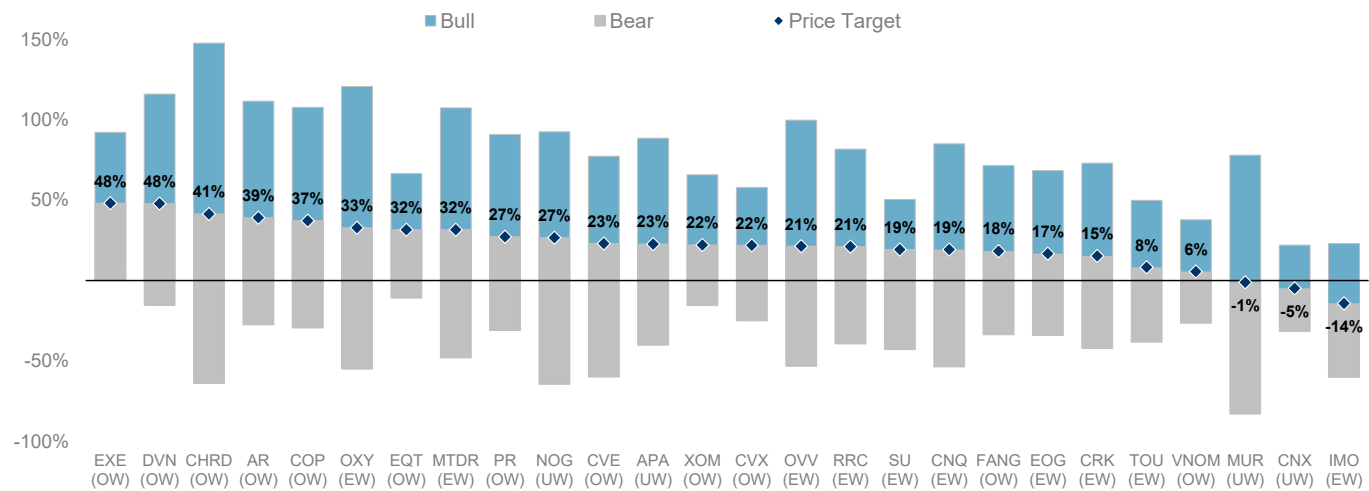
Source: Bloomberg, FactSet, Morgan Stanley Research estimates. Note: GC 321 Brent crack spread is unadjusted for RINs.

Exhibit 13: Price Target Changes

Company	Ticker	New PT	Old PT	Δ(%)	New Rating	Old Rating	PT% Upside
US Majors							
Chevron Corp.	CVX	210	214	(2%)	OW	OW	22%
Exxon Mobil Corporation	XOM	168	171	(2%)	OW	OW	22%
Integrations Median				(2%)			22%
Canadian Integrations (CAD unless noted)							
Canadian Natural Resources Ltd	CNQ	67	67	0%	EW	EW	19%
Genovus Energy Inc	CVE	43	43	0%	OW	OW	23%
Imperial Oil Ltd	IMO	138	141	(2%)	EW	EW	(14%)
Suncor Energy Inc	SU	92	93	(1%)	EW	EW	19%
Canadian Integrations Median				(1%)			19%
Oil E&Ps							
APA Corp.	APA	41	44	(7%)	UW	UW	23%
Chord Energy Corp.	CHRD	169	175	(3%)	OW	OW	41%
ConocoPhillips	COP	146	153	(5%)	OW	OW	37%
Devon Energy Corp.	DVN	63	66	(5%)	OW	OW	48%
Diamondback Energy, Inc.	FANG	216	229	(6%)	OW	OW	18%
EOG Resources Inc.	EOG	156	160	(3%)	EW	EW	17%
Matador Resources Co.	MTDR	66	75	(12%)	EW	EW	32%
Murphy Oil Corp.	MUR	35	37	(5%)	UW	UW	(1%)
Northern Oil and Gas, Inc.	NOG	25	29	(14%)	UW	UW	27%
Occidental Petroleum Corp.	OXY	68	74	(8%)	EW	EW	33%
Ovintiv Inc.	OVV	65	68	(4%)	EW	EW	21%
Permian Resources Corp.	PR	24	25	(4%)	OW	OW	27%
Oil E&Ps Median				(5%)			27%
Gas E&Ps							
Antero Resources Corp.	AR	48	56	(14%)	OW	OW	39%
CNX Resources Corp.	CNX	32	34	(6%)	UW	UW	(5%)
Comstock Resources Inc.	CRK	16	18	(11%)	EW	EW	15%
EQT Corp.	EQT	68	74	(8%)	OW	OW	32%
Expand Energy Corp.	EXE	131	139	(6%)	OW	OW	48%
Range Resources Corp.	RRC	44	50	(12%)	EW	EW	21%
Tourmaline Oil Corp.	TOU	65	70	(7%)	EW	EW	8%
Gas E&Ps Median				(8%)			21%
Royalties & Minerals							
Viper Energy, Inc.	VNOM	46	49	(6%)	OW	OW	6%
Total Coverage Median				(6%)			22%

Source: FactSet, Morgan Stanley Research estimates

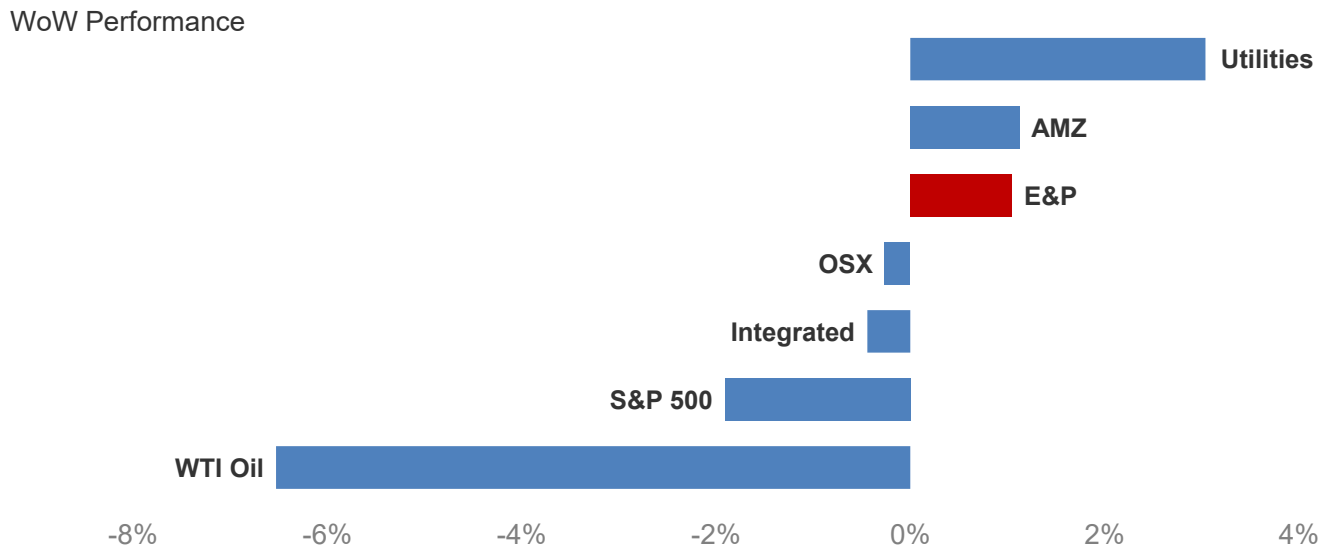
Exhibit 14: Bear/Bull Cases



Source: FactSet, Morgan Stanley Research estimates

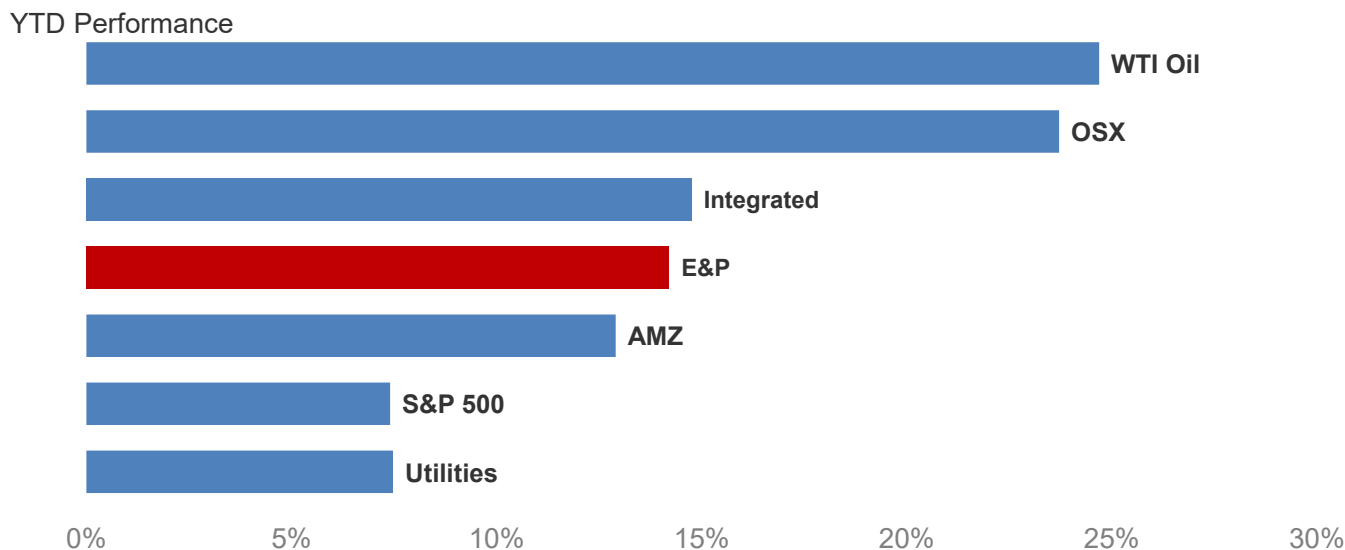
Performance & Key Industry Metrics

Exhibit 15: WoW Energy Sub-sector Performance



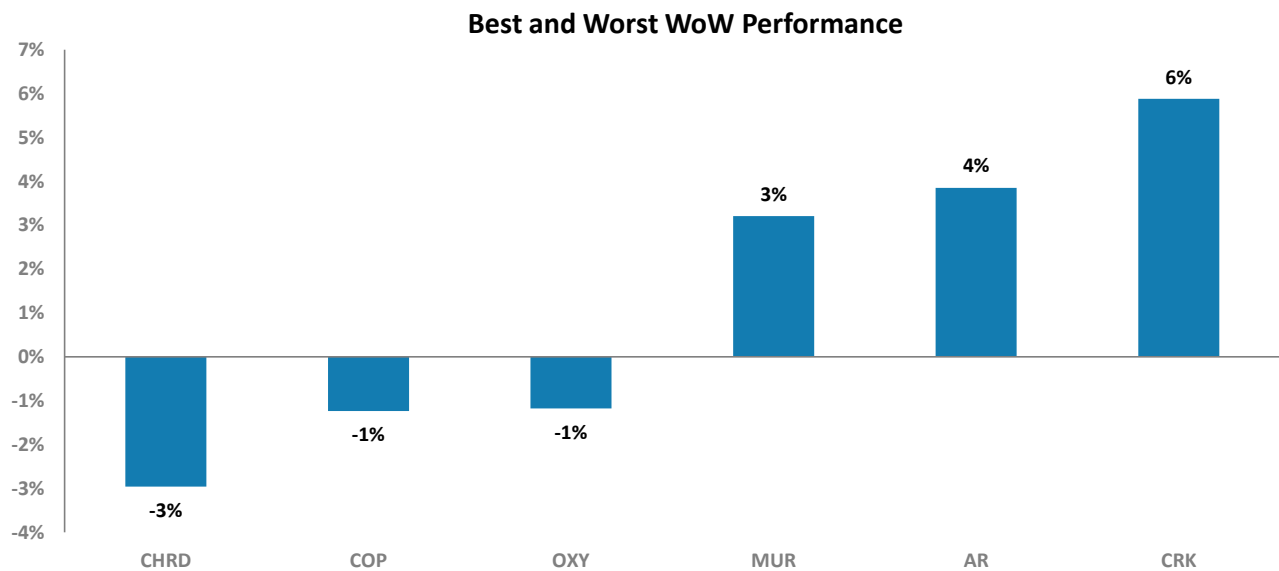
Source: Bloomberg, FactSet, Morgan Stanley Research. Note: prices as of 6.25.26 close.

Exhibit 16: YTD Energy Sub-sector Performance



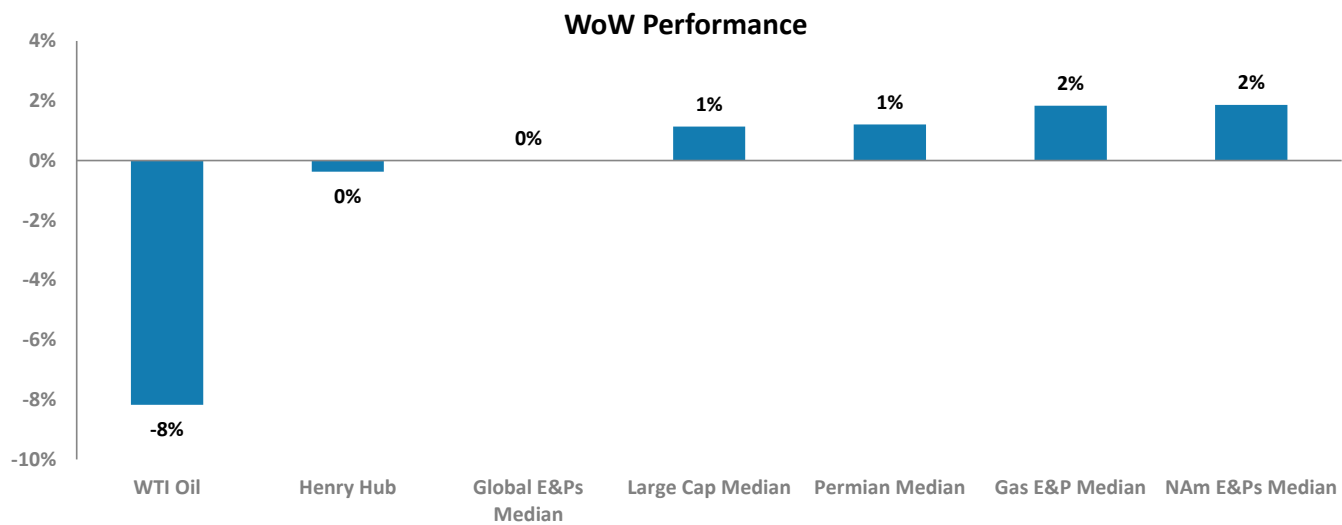
Source: Bloomberg, FactSet, Morgan Stanley Research. Note: prices as of 6.25.26 close.

Exhibit 17: Top E&P WoW Performance

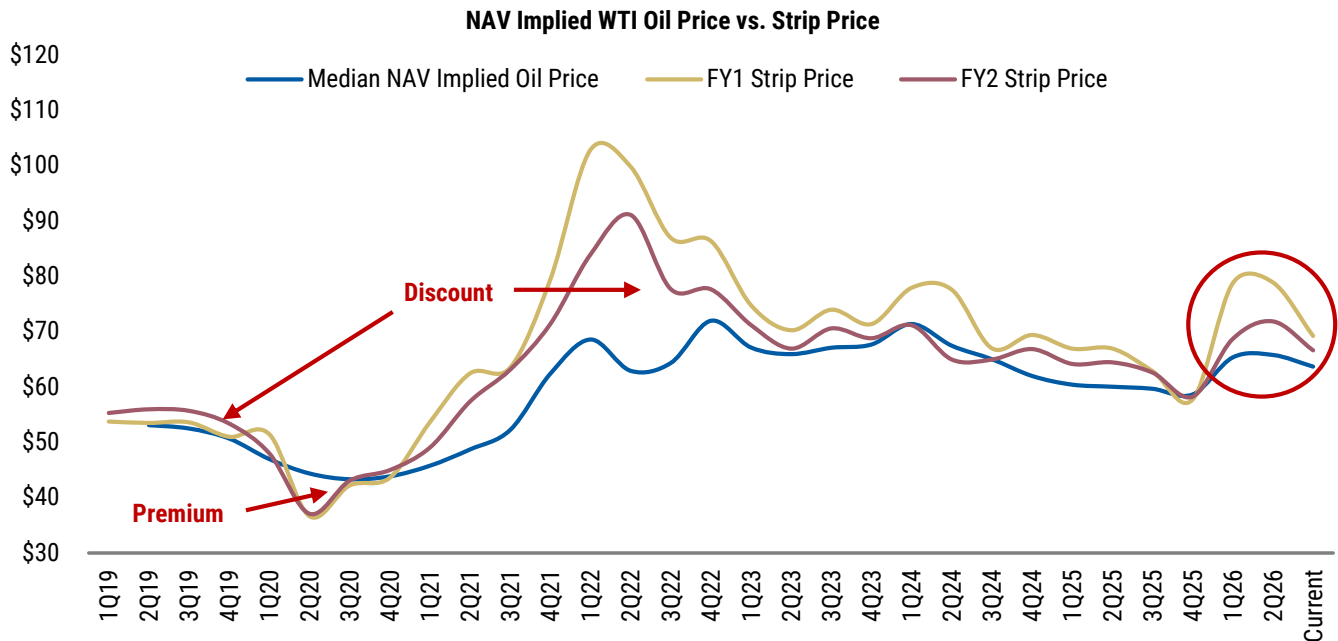


Source: FactSet, Morgan Stanley Research

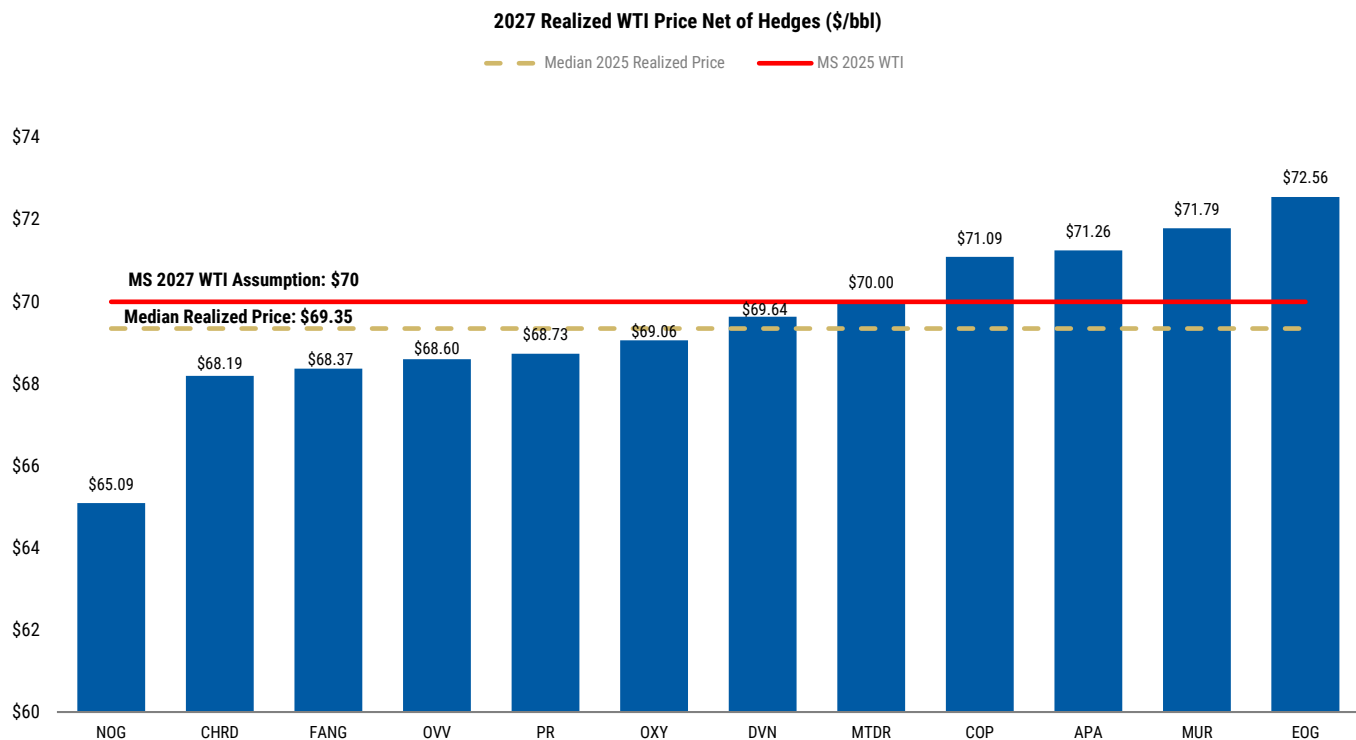
Exhibit 18: WoW Performance by E&P Subsector



Source: FactSet, Morgan Stanley Research.

Exhibit 19: NAV implied oil prices discount vs strip prices has narrowed in recent weeks driven by geopolitical risk.

Source: Company reports, Morgan Stanley Research estimates

Exhibit 20: At our price deck of ~\$70 WTI in 2027, we forecast a median realized price of ~\$69/bbl for our oil coverage. APA, MUR, and EOG have the highest realized prices due to limited hedges and/or geographic mix.

Source: Company reports, Morgan Stanley Research estimates

Comps

Exhibit 21: Comp Sheet

Commodity Benchmark Prices																								
		2026E	2027E	2028E																				
WTI Cushing Oil (\$/Bbl)		77.94	70.00	70.00																				
WCS (\$/Bbl)		62.54	56.58	55.00																				
Brent Oil (\$/Bbl)		84.75	74.52	75.00																				
US Henry Hub (\$/MMBtu)		3.66	3.50	3.75																				
Mont Belvieu NGL (\$/Bbl)		26.86	25.49	25.58																				
GC 321 Brent (\$/Bbl)		25.83	24.05	14.20																				

Company	Ticker	Rating	Price 6/25/26	Market Cap (\$MM)	Price Target	PT Upside	EV/EBITDAX			EV/ Debt-Adjusted Cash Flow			FCF yield (Pre-Div)			Total Yield (Dividends + Buybacks)			Net Debt/ EBITDAX			Prod Growth YoY		
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors																								
Chevron Corp.	CVX	OW	\$172.24	335,185	\$210	22%	6.2x	6.2x	6.2x	7.5x	7.3x	7.2x	10%	9%	9%	7%	9%	9%	0.5x	0.5x	0.5x	8%	3%	-0%
Exxon Mobil Corporation	XOM	OW	\$137.55	589,402	\$168	22%	6.4x	5.8x	5.1x	7.7x	6.9x	6.1x	8%	9%	9%	6%	6%	6%	0.2x	0.0x	-0.2x	-2%	8%	3%
US Majors Median						22%	6.3x	6.0x	5.6x	7.6x	7.1x	6.7x	9%	9%	9%	7%	8%	8%	0.3x	0.3x	0.2x	3%	5%	1%
Canada																								
Canadian Natural Resources Ltd	CNQ	EW	C\$56.19	C\$117,661	C\$67	19%	6.0x	5.9x	5.7x	6.6x	6.8x	6.6x	10%	9%	9%	8%	8%	9%	0.7x	0.6x	0.6x	5%	2%	-1%
Cenovus Energy Inc	CVE	OW	C\$34.96	C\$67,706	C\$43	23%	4.5x	4.6x	4.2x	5.2x	5.4x	4.8x	12%	10%	11%	6%	8%	11%	0.3x	0.3x	0.3x	17%	5%	5%
Imperial Oil Ltd	IMO	EW	C\$160.92	C\$81,281	C\$138	-14%	6.3x	6.8x	7.3x	7.8x	8.3x	8.9x	10%	8%	7%	7%	7%	6%	0.0x	-0.1x	-0.2x	2%	4%	1%
Suncor Energy Inc	SU	EW	C\$77.10	C\$93,445	C\$92	19%	4.2x	4.5x	4.4x	5.0x	5.3x	5.2x	13%	11%	10%	7%	11%	10%	0.1x	0.1x	0.1x	0%	6%	6%
Canada Median						19%	5.2x	5.3x	5.0x	5.9x	6.1x	5.9x	11%	10%	10%	7%	8%	10%	0.2x	0.2x	0.2x	3%	5%	3%
Oil E&Ps																								
APA Corp.	APA	UW	\$33.42	11,831	\$41	23%	2.6x	3.1x	2.9x	3.2x	3.6x	3.3x	16%	9%	11%	4%	5%	7%	0.5x	0.5x	0.3x	-7%	1%	4%
Chord Energy Corp.	CHRD	OW	\$119.48	6,783	\$169	41%	2.4x	2.4x	2.2x	2.5x	2.6x	2.4x	21%	15%	16%	14%	10%	12%	0.2x	0.1x	0.0x	0%	-1%	0%
ConocoPhillips	COP	OW	\$106.41	130,348	\$146	37%	4.7x	4.6x	4.1x	5.7x	5.5x	4.9x	9%	9%	10%	9%	8%	8%	0.5x	0.5x	0.4x	-3%	4%	2%
Devon Energy Corp.	DVN	OW	\$42.60	49,033	\$63	48%	4.2x	3.6x	3.0x	4.8x	4.0x	3.4x	12%	14%	15%	4%	7%	9%	0.5x	0.2x	0.0x	63%	22%	0%
Diamondback Energy, Inc.	FANG	OW	\$182.55	51,624	\$216	18%	5.3x	5.5x	4.9x	6.0x	6.2x	5.6x	12%	10%	11%	4%	6%	6%	0.8x	0.7x	0.5x	6%	1%	1%
EOG Resources Inc.	EOG	EW	\$133.59	71,471	\$156	17%	4.5x	4.9x	4.8x	5.2x	5.6x	5.5x	10%	8%	8%	7%	8%	8%	0.2x	0.2x	0.1x	14%	3%	3%
Matador Resources Co.	MTDR	EW	\$50.16	6,233	\$66	32%	3.8x	3.5x	3.5x	4.3x	4.0x	3.8x	13%	13%	15%	3%	3%	4%	1.2x	0.9x	0.9x	4%	2%	2%
Murphy Oil Corp.	MUR	UW	\$35.39	5,110	\$35	-1%	3.4x	3.5x	3.3x	3.7x	3.6x	3.6x	5%	6%	7%	7%	5%	6%	0.6x	0.6x	0.6x	-5%	7%	3%
Northern Oil and Gas, Inc	NOG	UW	\$19.74	2,124	\$25	27%	3.2x	3.3x	3.0x	4.0x	4.1x	3.7x	20%	13%	17%	9%	9%	9%	1.8x	1.7x	1.6x	8%	1%	0%
Occidental Petroleum Corp.	OXY	EW	\$51.21	51,563	\$68	33%	4.5x	4.9x	4.2x	4.6x	5.5x	4.8x	15%	9%	11%	2%	2%	2%	1.0x	0.8x	0.4x	0%	1%	3%
Ovintiv Inc	OVV	EW	\$53.55	14,362	\$65	21%	3.7x	3.9x	3.6x	3.9x	3.9x	4.0x	14%	13%	12%	9%	9%	8%	0.7x	0.8x	0.8x	2%	-2%	0%
Permian Resources Corp.	PR	OW	\$18.86	16,074	\$24	27%	3.9x	3.4x	3.1x	4.5x	3.9x	3.8x	14%	15%	13%	3%	4%	4%	0.4x	0.0x	-0.3x	5%	1%	1%
Oil E&Ps Median						27%	3.9x	3.6x	3.4x	4.4x	4.0x	3.8x	14%	12%	11%	5%	6%	7%	0.6x	0.6x	0.4x	3%	1%	1%
Gas E&Ps																								
Antero Resources Corp.	AR	OW	\$34.50	10,744	\$48	39%	5.3x	4.3x	3.2x	5.7x	4.9x	4.2x	11%	13%	13%	1%	6%	5%	0.9x	0.5x	0.2x	19%	9%	5%
CNX Resources Corp.	CNX	UW	\$33.61	5,387	\$32	-5%	6.0x	5.1x	4.5x	8.4x	6.2x	6.1x	5%	10%	10%	5%	6%	4%	1.3x	1.1x	1.0x	-3%	0%	0%
Comstock Resources Inc.	CRK	EW	\$13.87	4,041	\$16	15%	7.1x	5.8x	4.8x	8.1x	6.6x	5.6x	-13%	-6%	-3%	0%	0%	1%	3.1x	2.6x	2.2x	5%	21%	13%
EQT Corp.	EQT	OW	\$51.65	32,499	\$68	32%	6.3x	6.2x	4.6x	6.4x	6.9x	5.1x	11%	9%	14%	1%	3%	3%	0.7x	0.5x	0.0x	-0%	1%	5%
Expand Energy Corp.	EXE	OW	\$88.44	21,293	\$131	48%	3.8x	3.8x	3.2x	3.9x	4.0x	3.4x	13%	11%	12%	4%	4%	8%	0.3x	0.1x	-0.1x	5%	2%	1%
Range Resources Corp.	RRC	EW	\$36.31	8,584	\$44	21%	5.8x	5.4x	4.8x	6.2x	6.1x	5.8x	9%	8%	8%	2%	3%	6%	0.4x	0.1x	0.0x	6%	9%	2%
Tourmaline Oil Corp.	TOU	EW	C\$60.02	C\$24,070	C\$65	8%	6.3x	5.5x	4.7x	6.4x	5.7x	4.9x	4%	5%	8%	5%	6%	6%	0.3x	0.3x	0.2x	-2%	7%	6%
Gas E&Ps Median						21%	6.0x	5.4x	4.6x	6.4x	6.1x	5.1x	9%	9%	10%	2%	4%	5%	0.7x	0.5x	0.2x	5%	7%	5%
Royalties & Minerals																								
Viper Energy, Inc.	VNOM	OW	\$43.55	15,441	\$46	6%	11.0x	10.9x	9.6x	12.1x	12.1x	10.6x	11%	11%	12%	8%	11%	11%	0.7x	0.8x	0.7x	36%	4%	6%
Total Coverage Median						22%	4.6x	4.7x	4.3x	5.5x	5.5x	4.9x	11%	10%	11%	6%	6%	6%	0.5x	0.5x	0.3x	4%	3%	2%

Source: FactSet, Morgan Stanley Research estimates ++ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Sensitivity Summary

Exhibit 22: FCF yield sensitivities

		2027E FCF/Equity yield (Pre-Div)				
Company	Ticker	\$55 WTI	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI
US Majors						
Chevron Corp.	CVX	6%	8%	10%	12%	14%
Exxon Mobil Corporation	XOM	7%	8%	10%	11%	12%
US Majors Median		7%	8%	10%	11%	13%
Canada						
Canadian Natural Resources Ltd	CNQ	5%	8%	11%	13%	16%
Cenovus Energy Inc	CVE	5%	9%	12%	15%	18%
Imperial Oil Ltd	IMO	6%	8%	9%	11%	12%
Suncor Energy Inc	SU	7%	10%	12%	14%	16%
Canada Median		6%	8%	11%	14%	16%
Oil E&Ps						
APA Corp.	APA	2%	7%	12%	16%	21%
Chord Energy Corp.	CHRD	2%	10%	18%	24%	29%
ConocoPhillips	COP	5%	8%	11%	13%	16%
Devon Energy Corp.	DVN	8%	12%	15%	18%	21%
Diamondback Energy, Inc.	FANG	6%	9%	12%	14%	17%
EOG Resources Inc.	EOG	5%	7%	10%	12%	15%
Matador Resources Co.	MTDR	5%	10%	15%	20%	25%
Murphy Oil Corp.	MUR	0%	4%	8%	13%	17%
Northern Oil and Gas, Inc	NOG	1%	11%	20%	30%	40%
Occidental Petroleum Corp.	OXY	3%	7%	11%	15%	19%
Ovintiv Inc	OVV	6%	11%	16%	20%	24%
Permian Resources Corp.	PR	10%	13%	17%	20%	24%
Oil E&Ps Median		5%	9%	13%	17%	21%
Royalties & Minerals						
Viper Energy, Inc.	VNOM	9%	10%	12%	13%	15%

Source: FactSet, Morgan Stanley Research estimates.

Exhibit 23: MSe EBITDAX vs consensus

		2027E EBITDAX vs consensus				
Company	Ticker	\$55 WTI	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI
US Majors						
Chevron Corp.	CVX	-20%	-6%	7%	21%	35%
Exxon Mobil Corporation	XOM	-8%	4%	17%	29%	42%
US Majors Median		-14%	-1%	12%	25%	38%
Canada						
Canadian Natural Resources Ltd	CNQ	-32%	-12%	7%	26%	44%
Cenovus Energy Inc	CVE	-34%	-14%	7%	26%	44%
Imperial Oil Ltd	IMO	-11%	7%	25%	41%	58%
Suncor Energy Inc	SU	-17%	-2%	14%	28%	42%
Canada Median		-24%	-7%	11%	27%	44%
Oil E&Ps						
APA Corp.	APA	-33%	-18%	-3%	12%	27%
Chord Energy Corp.	CHRD	-34%	-15%	5%	23%	42%
ConocoPhillips	COP	-25%	-8%	9%	26%	43%
Devon Energy Corp.	DVN	-28%	-13%	1%	14%	28%
Diamondback Energy, Inc.	FANG	-30%	-13%	3%	19%	36%
EOG Resources Inc.	EOG	-28%	-13%	3%	18%	33%
Matador Resources Co.	MTDR	-32%	-17%	-2%	12%	26%
Murphy Oil Corp.	MUR	-40%	-19%	1%	19%	36%
Northern Oil and Gas, Inc	NOG	-32%	-20%	-8%	5%	18%
Occidental Petroleum Corp.	OXY	-39%	-21%	-3%	14%	32%
Ovintiv Inc	OVV	-33%	-17%	-2%	14%	29%
Permian Resources Corp.	PR	-22%	-7%	7%	22%	36%
Oil E&Ps Median		-32%	-16%	1%	16%	33%
Royalties & Minerals						
Viper Energy, Inc.	VNOM	-27%	-14%	-1%	12%	24%

Source: FactSet, Morgan Stanley Research estimates.

EPS

Exhibit 24: EPS Estimates

Company	Ticker	Rating	EPS								
			MS			Consensus			MS vs. Street		
			2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors											
Chevron Corp.	CVX	OW	12.95	12.67	12.49	14.29	12.31	12.53	-9%	3%	-0%
Exxon Mobil Corporation	XOM	OW	11.31	12.34	14.08	11.01	10.48	10.93	3%	18%	29%
US Majors Median			12.13	12.50	13.29	12.65	11.39	11.73	-3%	10%	14%
Canada											
Canadian Natural Resources Ltd	CNQ	EW	4.78	4.75	4.92	6.06	4.95	4.88	-21%	-4%	1%
Cenovus Energy Inc	CVE	OW	3.73	3.22	3.60	4.51	3.53	4.01	-17%	-9%	-10%
Imperial Oil Ltd	IMO	EW	15.97	13.90	12.04	12.77	11.08	10.95	25%	25%	10%
Suncor Energy Inc	SU	EW	8.96	7.86	7.40	9.09	7.30	8.14	-1%	8%	-9%
Canada Median			6.87	6.31	6.16	7.57	6.12	6.51	-9%	2%	-4%
Oil E&Ps											
APA Corp.	APA	UW	5.08	3.01	3.52	6.52	4.28	4.66	-22%	-30%	-25%
Chord Energy Corp.	CHRD	OW	19.95	16.29	18.13	21.63	16.38	16.50	-8%	-1%	10%
ConocoPhillips	COP	OW	9.47	9.16	10.50	10.19	9.02	9.18	-7%	2%	14%
Devon Energy Corp.	DVN	OW	4.63	4.52	5.17	5.50	5.51	6.20	-16%	-18%	-17%
Diamondback Energy, Inc.	FANG	OW	17.47	15.11	16.30	20.47	17.43	17.51	-15%	-13%	-7%
EOG Resources Inc.	EOG	EW	15.63	12.95	13.01	17.33	14.83	14.83	-10%	-13%	-12%
Matador Resources Co.	MTDR	EW	6.90	6.96	7.39	7.75	8.68	8.70	-11%	-20%	-15%
Murphy Oil Corp.	MUR	UW	2.23	2.72	3.06	3.90	3.42	3.74	-43%	-20%	-18%
Northern Oil and Gas, Inc	NOG	UW	3.33	3.07	3.45	3.96	4.16	4.37	-16%	-26%	-21%
Occidental Petroleum Corp.	OXY	EW	5.21	2.98	3.49	5.55	3.92	3.76	-6%	-24%	-7%
Ovintiv Inc	OVV	EW	6.89	6.53	7.53	7.86	7.75	8.40	-12%	-16%	-10%
Permian Resources Corp.	PR	OW	1.47	1.96	2.03	1.66	2.10	2.13	-12%	-7%	-5%
Oil E&Ps Median			6.05	5.52	6.28	7.14	6.63	7.30	-12%	-17%	-11%
Gas E&Ps											
Antero Resources Corp.	AR	OW	3.37	3.96	5.29	4.46	4.60	5.24	-24%	-14%	1%
CNX Resources Corp.	CNX	UW	1.77	2.58	3.25	3.13	4.17	4.61	-44%	-38%	-30%
Comstock Resources Inc.	CRK	EW	0.50	0.95	1.56	0.54	1.06	1.56	-7%	-10%	0%
EQT Corp.	EQT	OW	3.97	3.73	5.47	4.71	4.60	5.51	-16%	-19%	-1%
Expand Energy Corp.	EXE	OW	8.80	7.42	9.14	8.91	9.14	9.71	-1%	-19%	-6%
Range Resources Corp.	RRC	EW	3.44	3.10	3.32	4.29	4.54	4.84	-20%	-32%	-32%
Tourmaline Oil Corp.	TOU	EW	5.20	4.54	5.87	5.19	5.41	5.24	0%	-16%	12%
Gas E&Ps Median			3.44	3.73	5.29	4.46	4.60	5.24	-16%	-19%	-1%
Royalties & Minerals											
Viper Energy, Inc.	VNOM	OW	2.17	1.94	2.15	2.63	2.36	2.37	-17%	-18%	-10%
Total Coverage Median			5.14	4.53	5.38	5.81	5.18	5.38	-12%	-15%	-7%

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – APA Corp (APA.O)

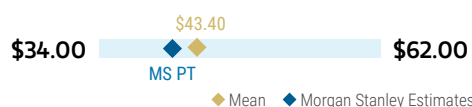
Reflects discovered Suriname value, but more exploration is needed.

PRICE TARGET \$41.00

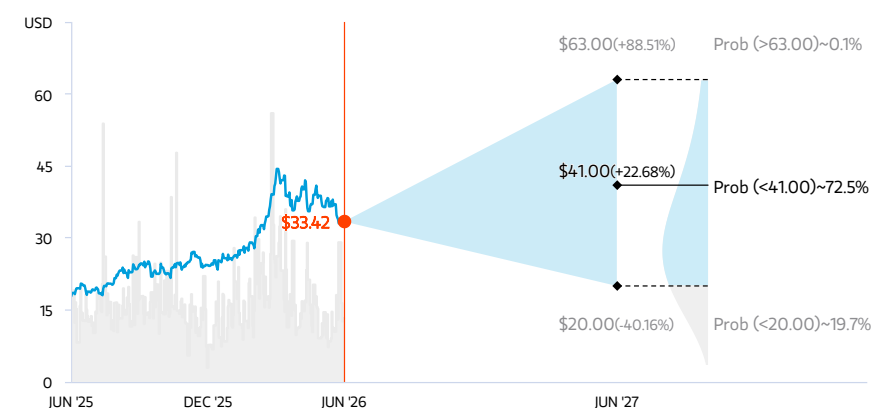
Base case of \$41 is based on a target multiple of 3.0x EV/EBITDAX (\$34) and NAV of \$48.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

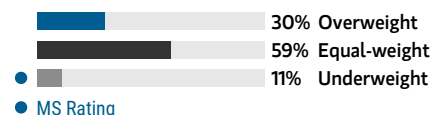
UNDERWEIGHT THESIS

■ **Further upside hinges upon successful de-risking of future Suriname developments.** While Suriname reached its first FID, we believe more extensive exploration and appraisal work is required to de-risk future potential phases.

■ **Challenges in operational assets.** APA plans to cease operations in the North Sea (due to unfavorable regulatory regime & high taxes) well ahead of the original timeline. In addition, we continue to see a challenged long-term outlook for gas-rich Alpine High.

■ **Targeting \$450 MM in annual cost savings by YE26** in capital, LOE, and overhead. While this is a positive development, investors need to see clear progress toward these goals before giving credit to stronger FCF

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE \$63.00

3.7x 2027e EV/EBITDAX of \$6.4 B

Long term (2028+) bull case price deck: WTI \$90, HH \$4.25. Price target is 50/50 2027e E&P target multiple of 3.0x EV/EBITDAX (\$54) and NAV of \$72.

BASE CASE \$41.00

3.6x 2027e E&P EV/EBITDAX of \$4.8 B

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Price target is 50/50 2027e E&P target multiple of 3.0x EV/EBITDAX (\$34) and NAV of \$48.

BEAR CASE \$20.00

3.5x 2027e EV/EBITDAX of \$3.1 B

Long term (2028+) bear case price deck: WTI \$50, HH \$3.25. Price target is 50/50 2027e E&P target multiple of 3.0x EV/EBITDAX (\$16) and NAV of \$24.

Risk Reward – APA Corp (APA.O)

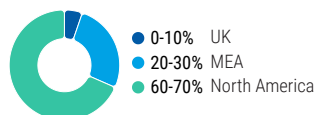
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	237	219	210	220
Total Production (Mboe/d)	464	430	433	449
Realized Oil Price (\$)	66.89	79.93	71.26	69.01
Realized Gas Price (\$)	2.35	2.17	3.22	3.38
EBITDA Margin per Boe (\$)	30.30	38.02	30.15	29.07

INVESTMENT DRIVERS

- Commodity prices.
- Suriname exploration well results.
- Capital efficiency.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices.
- De-risking of offshore Suriname resource through successful exploration.
- Service cost deflation.

RISKS TO DOWNSIDE

- Lower commodity prices.
- Suriname exploration well results: dry holes or low value gas resource.
- Service cost inflation.

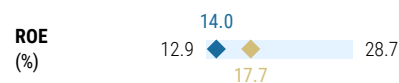
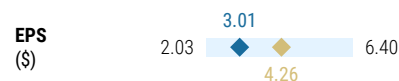
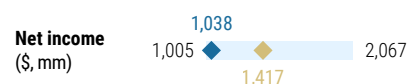
OWNERSHIP POSITIONING

Inst. Owners, % Active	45.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

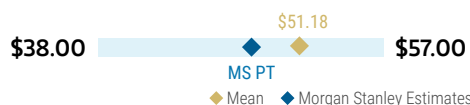
Risk Reward – Antero Resources Corp (AR.N)

Peer-leading FCF with LNG buildout exposure.

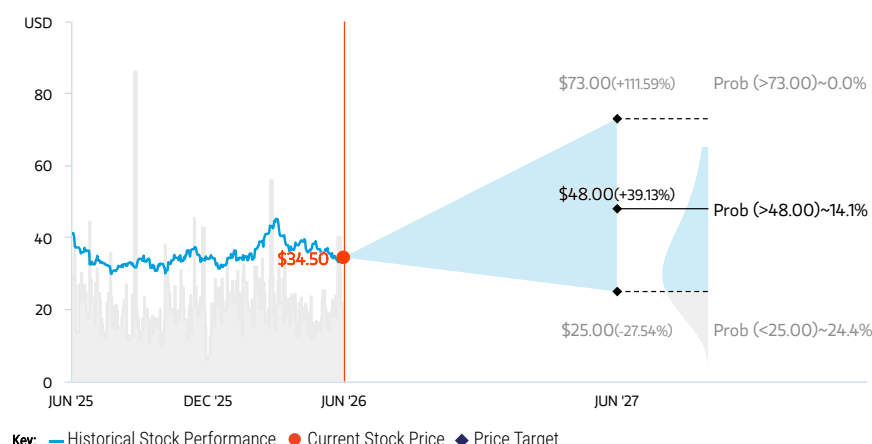
PRICE TARGET \$48.00

Base case of \$48/sh, which is a 50/50 blend of (1) 5.0x 2027e E&P EV/EBITDA of \$46/sh, and (2) NAV of \$50/sh (10.1% discount rate).

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

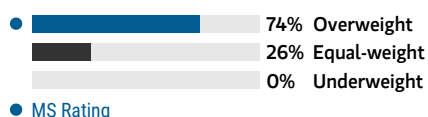


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Exposure to LNG fairway.** AR sells the majority of its production out of basin, including ~2.1 bcf/d of transport to premium Gulf Coast LNG pricing.
- **Capital efficiency.** AR's increased capital efficiency allows for maintenance production levels at ~25% lower y/y spend which it expects to largely maintain on a run-rate basis.
- **FCF growth.** After lagging peers over the last year, AR offers the highest '26 FCF yield within our gas coverage, supported by the HG Energy transaction which is accretive to FCF, net asset value, and extends inventory life by ~5 years.

Consensus Rating Distribution



BULL CASE

\$73.00

6.1x 2027e EBITDA

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Bull case of \$73/share is a 50/50 blend of 1) 4.75x 2027e E&P EV/EBITDA of \$66/sh and 2) net asset value (NAV) of \$81/sh.

BASE CASE

\$48.00

5.9x 2027e EBITDA

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$48/sh, which is a 50/50 blend of (1) 5.0x 2027e E&P EV/EBITDA of \$46/sh, and (2) NAV of \$50/sh (10.1% discount rate).

BEAR CASE

\$25.00

5.5x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$25/share is a 50/50 blend of 1) 5.25x 2027e E&P EV/EBITDA of \$30/sh and 2) net asset value (NAV) of \$19/sh.

Risk Reward – Antero Resources Corp (AR.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	8	11	14	16
Total Production (Mboe/d)	574	685	749	785
Realized Oil Price (\$)	51.76	62.76	55.29	55.29
Realized Gas Price (\$)	3.53	3.69	3.67	3.78
EBITDAX Margin per Boe (\$)	8	10	10	11

INVESTMENT DRIVERS

- Commodity prices
- Capex & Capital efficiency
- Ability to execute on cost saving targets
- AM share price

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices and differentials.
- Improved well performance.
- Execution on further asset sales and improved capital efficiency.

RISKS TO DOWNSIDE

- Downside to production outlook.
- Inflation.

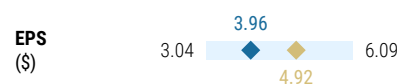
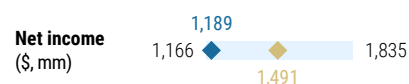
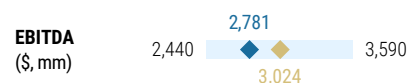
OWNERSHIP POSITIONING

Inst. Owners, % Active	57.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Chevron Corporation (CVX.N)

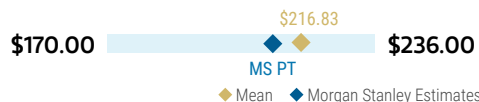
Strong acquisition in HES with attractive rate of change into 2026.

PRICE TARGET \$210.00

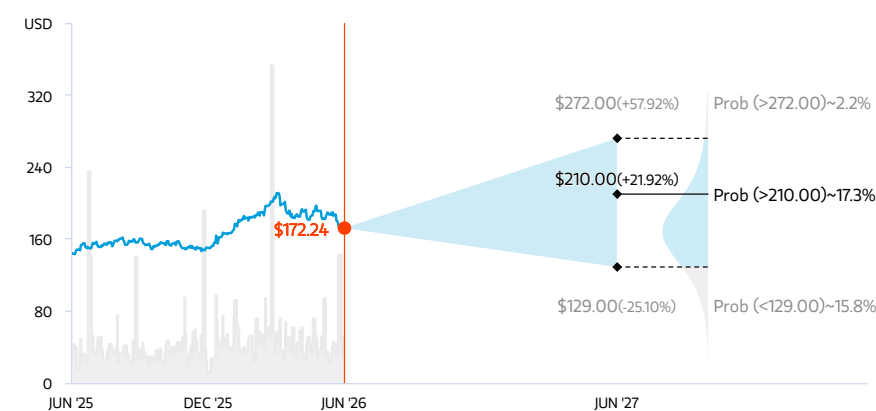
Base case of \$210/share which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (\$220/share) and 2) our discounted cash flow value of \$199/share (with a WACC of 8.1% and terminal EV/EBITDA multiple of 6.2x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

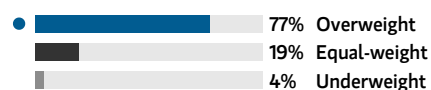
OVERWEIGHT THESIS

■ **HES strengthens outlook.** Through its acquisition of HES, CVX gains exposure to rising high margin volumes in Guyana, driving a 1.5% bump in the company's oil production CAGR for the remainder of the decade.

■ **Strong rate of change into 2026.** By 2026, CVX expects \$12.5 B of FCF uplift from TCO, GoA, Permian, cost cutting initiatives, and HES. This leads to a FCF yield of 10% in '26 (at \$78 WTI).

■ **Durable FCF growth.** With its '25 Investor Day, CVX highlighted a >10% FCF CAGR through 2030 underpinned by a low-risk, high-confidence set of investment opportunities.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$272.00

9.5x 2027e EV/DACF of \$60.5 B

Bull case of \$272 is based on a 50/50 blend of 1) a target multiple of 8.5x 2026e EV/DACF (\$276/share) and 2) our discounted cash flow value of \$269/share. Scenario assumes \$90.00 WTI, \$95 Brent, \$4.25 Henry Hub, and refining margins increase ~10%.

BASE CASE

\$210.00

8.7x 2027e EV/DACF.

Base case of \$210/sh which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (\$220/share) and 2) our discounted cash flow value of \$199/share (with a WACC of 8.1% and terminal EV/EBITDA multiple of 6.2x). Scenario assumes long-term (2028+) \$70.00 WTI, \$75 Brent, \$3.75 Henry Hub.

BEAR CASE

\$129.00

8.1x 2027e EV/DACF of \$35.6 B

Bear case of \$129 is based on a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (\$135/share) and 2) our discounted cash flow value of \$123/share. Scenario assumes \$50.00 WTI, \$55 Brent, \$3.25 Henry Hub, and refining margins decline ~10%.

Risk Reward – Chevron Corporation (CVX.N)

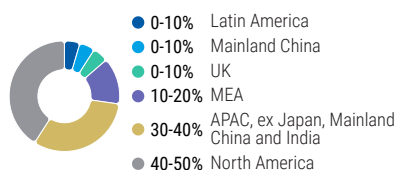
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	1,827	2,013	2,097	2,094
Total Production (Mboe/d)	3,722	4,008	4,108	4,096
Realized Oil Price (\$)	62.68	75.19	66.47	66.64
Realized Gas Price (\$)	5.22	5.67	5.42	5.61
EBITDA Margin per Boe (\$)	30.48	41.04	38.59	37.20

INVESTMENT DRIVERS

- Return of cash
- Capex
- Capital efficiency
- Commodity prices including oil & gas, LNG, crack spreads, and chemicals margins
- Major capital projects including Tengiz and unconventional in the Permian, Canada, and Argentina

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices, including liquefied natural gas (LNG)
- Outperformance of Guyana development
- Addressing long term growth questions through M&A or exploration program
- Permian well performance improvements

RISKS TO DOWNSIDE

- Lower commodity prices
- TCO concession agreement is not renewed early next decade
- Long-term upstream growth lags peers
- Geopolitical risk

OWNERSHIP POSITIONING

Inst. Owners, % Active	45.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

EBITDA (\$, mm)	44,522	57,865	68,886
		58,462	

Net income (\$, mm)	15,558	24,164	30,938
		23,611	

EPS (\$)	8.29	12.67	15.94
		12.39	

ROE (%)	10.1	12.9	15.6
		12.3	

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

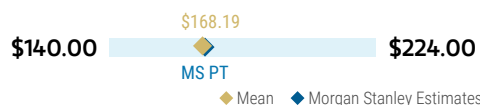
Risk Reward – Chord Energy Corporation (CHRD.O)

Durable FCF generation and outsized shareholder returns at discount vs peers

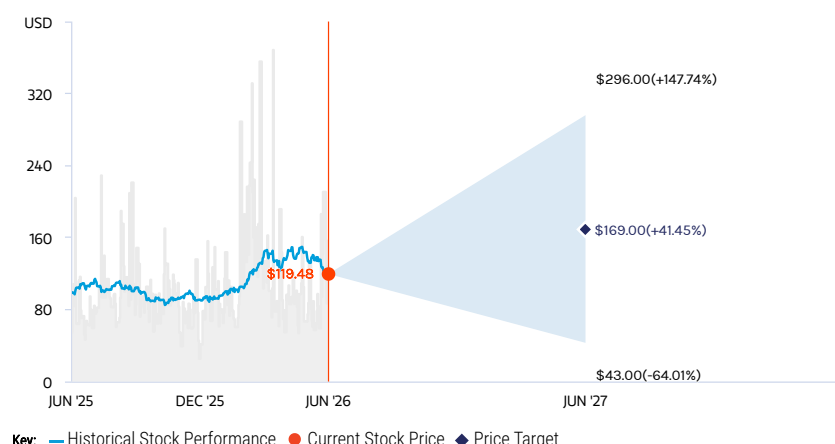
PRICE TARGET \$169.00

Base case of \$169/sh, which is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDA (\$176/sh) and 2) our NAV of \$161/sh.

Consensus Price Target Distribution



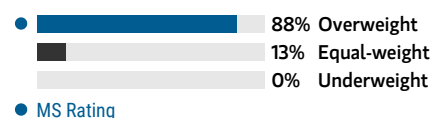
RISK REWARD CHART



OVERWEIGHT THESIS

- **Enhanced scale in the Bakken at attractive valuation.** We estimate CHRD trades at a discount to its peers on '26 EV/EBITDAX.
- CHRD offers **strong FCF generation across a range of oil prices** and at \$70 WTI in 2027, we see a 15% FCF yield (oil E&P average of 12%) and 10% shareholder return yield (peer average of 6%).
- We expect CHRD to continue realizing capital efficiency gains and see a **positive rate-of-change on its longer lateral program.** For 2026, CHRD expects 80% of its planned wells to be 3- to 4-mile laterals (vs. ~45% last year).

Consensus Rating Distribution



BULL CASE

\$296.00

4.5x 2027e EV/EBITDAX

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25 Bull case of \$296/sh is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDAX (\$284/sh) and 2) our NAV of \$308/sh.

BASE CASE

\$169.00

3.8x 2027e EV/EBITDAX

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Base case of \$169/sh, which is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDA (\$176/sh) and 2) our NAV of \$161/sh.

BEAR CASE

\$43.00

2.5x 2027e EV/EBITDAX

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Bear case of \$43/sh is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDAX (\$72/sh) and 2) our NAV of \$12/sh.

Risk Reward – Chord Energy Corporation (CHRD.O)

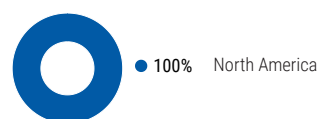
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	155	162	162	162
Total Production (Mboe/d)	277	278	276	277
Realized Oil Price (\$)	63.62	76.64	68.19	68.25
Realized Gas Price (\$)	1.51	1.57	1.76	1.96
EBITDA Margin per Boe (\$)	16.43	30.07	25.86	26.27

INVESTMENT DRIVERS

- Commodity prices
- Capex & Capital efficiency
- Incremental well cost savings
- Three-mile lateral inventory expansion from ~40% currently

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices and improved differentials.
- Improved well performance.
- Higher than expected % of the three-mile lateral inventory in the Bakken
- Better than expected well results and economics of the 4-mile laterals

RISKS TO DOWNSIDE

- Lower commodity prices and wider differentials.
- Worse than expected well performance.
- Increased leverage

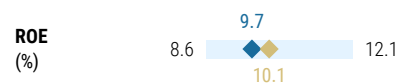
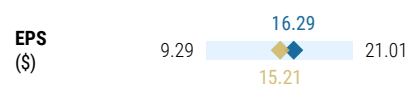
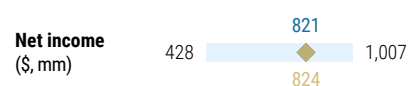
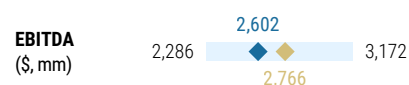
OWNERSHIP POSITIONING

Inst. Owners, % Active	53.5%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

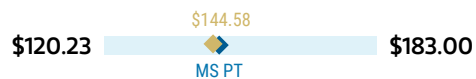
Risk Reward – ConocoPhillips (COP.N)

High quality, low cost portfolio underpins attractive FCF and return of cash

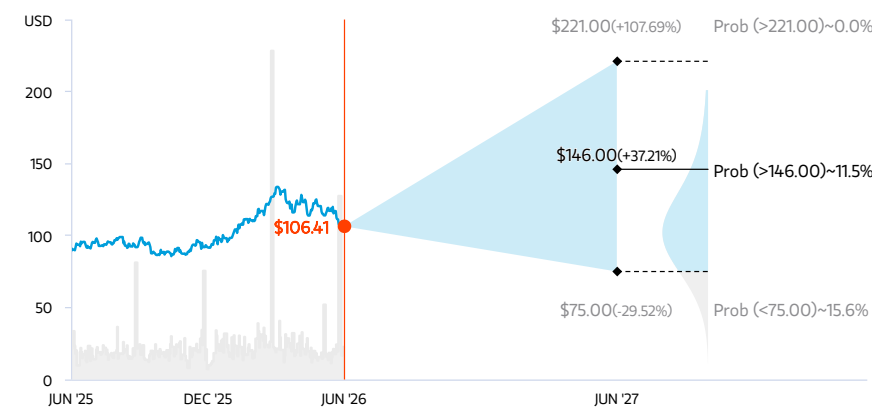
PRICE TARGET \$146.00

Base case of \$146/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$143/share) and 2) our NAV of \$150/share (with a WACC of 8.7%).

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

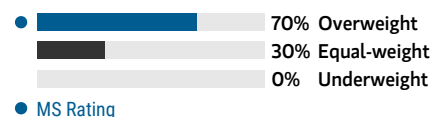


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **COP checks all the boxes for sustained outperformance:** excellent management, disciplined investment, and consistent return of cash coupled with a high quality, low cost portfolio that can deliver an attractive combination of FCF and shareholder returns.
- **Strong growth ahead.** Delivery of long term projects (Alaska, Qatar, and Port Arthur LNG) underpin an impressive FCF CAGR of 14% through the rest of the decade.
- **Resilient to lower commodity prices.** COP's strong cash balance provides financial flexibility and resiliency to lower prices while its unhedged exposure allows for upside participation.

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$221.00

7.3x 2027e EV/EBITDA of \$40 B

Bull Price deck: WTI \$90.00, Brent \$95.00, HH \$4.25. Bull case of \$221/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$216/share) and 2) our NAV of \$226/share.

BASE CASE

\$146.00

6.8x 2027e EV/EBITDA of \$30 B

Long-term (2028+) Base Price deck: WTI \$70.00, Brent \$75.00, HH \$3.75. Base case of \$146/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$143/share) and 2) our NAV of \$150/share (with a WACC of 8.7%).

BEAR CASE

\$75.00

5.5x 2027e EV/EBITDA of \$20 B

Bear Price deck: WTI \$50.00, Brent \$55.00, HH \$3.25. Bear case of \$75/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$86/share) and 2) our NAV of \$63/share.

Risk Reward – ConocoPhillips (COP.N)

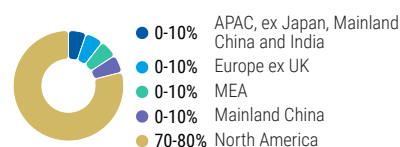
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	1,279	1,223	1,264	1,282
Total Production (Mboe/d)	2,375	2,302	2,394	2,431
Realized Oil Price (\$)	65.73	79.30	71.09	71.26
Realized Gas Price (\$)	4.33	4.54	4.69	5.07
EBITDA Margin per Boe (\$)	29.34	36.20	33.43	34.25

INVESTMENT DRIVERS

- Commodity prices
- Capex
- Capital efficiency
- Return of cash
- Major capital project execution including Alaska and North America unconventional

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Upside to Alaska resource discovery
- Better well performance in Lower 48

RISKS TO DOWNSIDE

- Lower commodity prices
- Cost inflation
- Alaska discovery has less potential resources than expected
- Federal acreage exposure in Alaska
- Worse than expected well results in the Eagle Ford, Permian, and Bakken

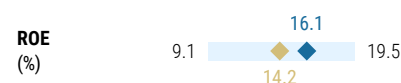
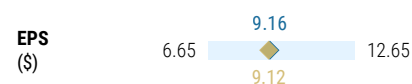
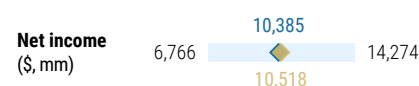
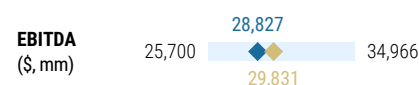
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.1%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Comstock Resources Inc. (CRK.N)

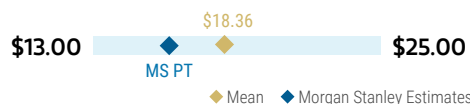
Exposure to LNG fairway but Western Haynesville economics still unclear

PRICE TARGET \$16.00

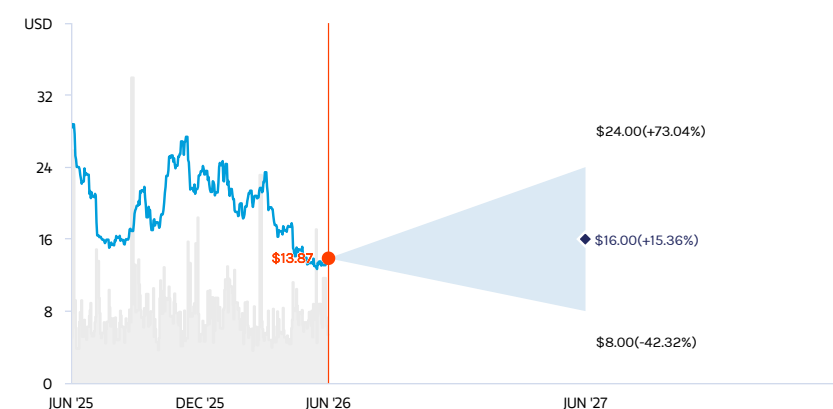
Long-term (2028+) base case price deck: WTI \$65, HH \$3.75. Base case of \$16/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$16/sh and 2) net asset value (NAV) of \$16/sh (10.2% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



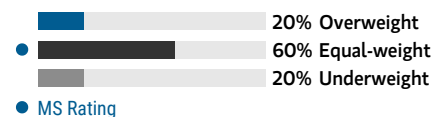
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Exposure to Haynesville and Bossier shale regions in LA and TX provide access to growing LNG fairway.
- Exploratory Western Haynesville opportunity offers long-term growth, but economics and productivity remain unclear.
- Jerry Jones, owner of the Dallas Cowboys Football Team, holds majority stake in CRK (71%).
- While FCF/equity improves from -5% in '26 to -1% in '28, CRK lags peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$24.00

2.4x 2027e EBITDA

Long-term (2027+) bull case price deck: WTI \$90, HH \$4.25. Bull case of \$24/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$22/sh and 2) net asset value (NAV) of \$26/sh.

BASE CASE

\$16.00

0.8x 2027e EBITDAX

Long-term (2028+) base case price deck: WTI \$65, HH \$3.75. Base case of \$16/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$16/sh and 2) net asset value (NAV) of \$16/sh (10.2% discount rate).

BEAR CASE

\$8.00

-1.4x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$8/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$10/sh and 2) net asset value (NAV) of \$5/sh.

Risk Reward – Comstock Resources Inc. (CRK.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	1,234	1,300	1,572	1,771
Total Production (Mboe/d)	206	217	262	295
Realized Oil Price (\$)	61.92	68.91	60.99	60.99
Realized Gas Price (\$)	3.21	3.16	3.23	3.45
EBITDAX Margin per Boe (\$, mm)	20.10	16.62	14.42	15.75

INVESTMENT DRIVERS

- Commodity prices
- Capex & capital efficiency
- Western Haynesville performance

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Execution on Western Haynesville exploratory play
- Capex and production efficiencies
- Service cost deflation

RISKS TO DOWNSIDE

- Lower commodity prices
- Declining productivity
- Western Haynesville does not materialize as planned

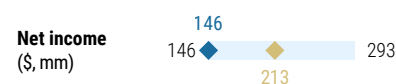
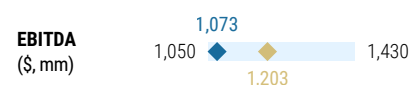
OWNERSHIP POSITIONING

Inst. Owners, % Active	30.5%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – CNX Resources Corp (CNX.N)

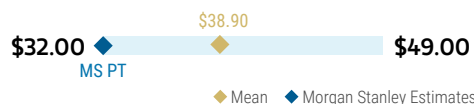
Appalachian E&P with FCF below peers

PRICE TARGET \$32.00

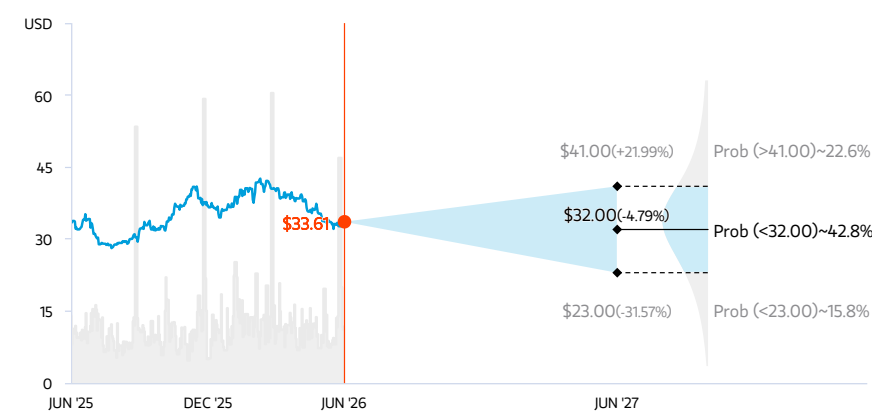
Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$32/share is a 50/50 blend of 1) 5.0x 2027e E&P EV/EBITDA of \$33/sh and 2) net asset value (NAV) of \$31/sh (9.2% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



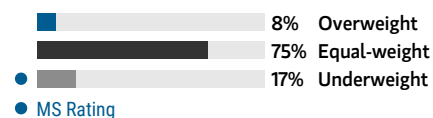
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- Appalachia-focused production profile with emerging New Technologies business unit. ~70% of production is sold into Appalachian pricepoints.
- Hedge profile limits potential price-related upside, with ~80% of 2026 production hedged -- above gassy E&P peer median of 50%.
- Lower FCF/equity vs. peers near the current strip.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$41.00

3.2x 2027e EBITDAX

Long-term (2027+) bull case price deck: WTI \$90, HH \$4.25. Bull case of \$45/share is a 50/50 blend of 1) 4.0x 2027e E&P EV/EBITDA of \$37/sh and 2) net asset value (NAV) of \$54/sh.

BASE CASE

\$32.00

2.5x 2027e EBITDAX

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$32/share is a 50/50 blend of 1) 5.0x 2027e E&P EV/EBITDA of \$33/sh and 2) net asset value (NAV) of \$31/sh (9.2% discount rate).

BEAR CASE

\$23.00

1.6x 2027e EBITDAX

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$23/share is a 50/50 blend of 1) 5.0x 2027e E&P EV/EBITDA of \$29/sh and 2) net asset value (NAV) of \$17/sh.

Risk Reward – CNX Resources Corp (CNX.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	1,487	1,434	1,456	1,472
Total Production (Mboe/d)	287	279	280	280
Realized Oil Price (\$)	55.22	64.17	56.25	56.25
Realized Gas Price (\$)	2.68	2.47	2.95	3.13
EBITDAX Margin per Boe (\$, mm)	14.86	13.63	13.45	14.42

INVESTMENT DRIVERS

- Commodity prices
- Capex and capital efficiency
- Execution on New Technologies growth projects
- Appalachian gas demand (in-basin)

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher long-term commodity prices
- Improved well performance
- Service cost deflation
- Realization of New Technology upside

RISKS TO DOWNSIDE

- Lower long-term commodity prices
- Service cost inflation

OWNERSHIP POSITIONING

Inst. Owners, % Active	44%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

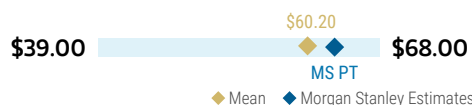
Risk Reward – Devon Energy Corp (DVN.N)

Path to re-rating tied to integration and synergy delivery

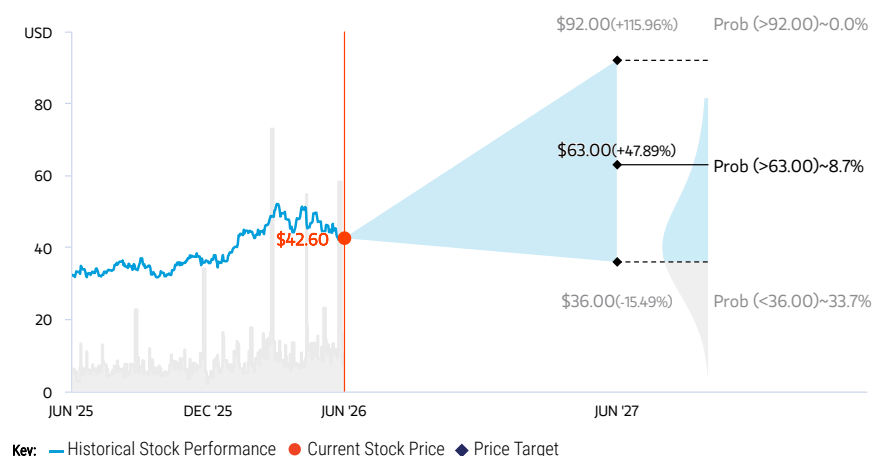
PRICE TARGET \$63.00

Price target is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$60/sh) and 2) our NAV of \$66/sh.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

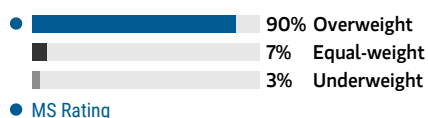


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Merger with CTRA nearly doubled production, making DVN the second largest US independent E&P. The combined company now has more than a decade of inventory runway in the Delaware Basin.
- DVN expects >\$1 B of deal synergies by YE27, in addition to DVN's existing \$1 B business optimization initiative. Management views this target as the floor.
- Shares trade at a ~1.5x discount to peers on '27 EV/EBITDAX while offering 50% higher FCF yield at \$75 WTI. We see a path to re-rating tied to integration and synergy delivery.

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*
View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$92.00

5.4x 2027e EV/EBITDAX of \$18.3 B

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Bull case is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$85/sh) and 2) our NAV of \$98/sh.

BASE CASE

\$63.00

5.2x 2027e EV/EBITDAX of \$13.9 B

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Base case is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$60/sh) and 2) our NAV of \$66/sh.

BEAR CASE

\$36.00

4.9x 2027e EV/EBITDAX of \$9.5 B

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Bear case is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$36/sh) and 2) our NAV of \$36/sh.

Risk Reward – Devon Energy Corp (DVN.N)

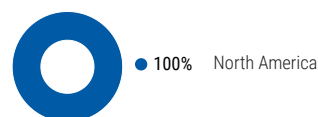
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	389	501	573	582
Total Production (Mboe/d)	840	1,370	1,674	1,680
Realized Oil Price (\$)	63.91	74.71	69.64	69.65
Realized Gas Price (\$)	1.79	2.02	2.11	2.20
EBITDAX Margin per Boe (\$)	24.50	25.70	22.74	23.54

INVESTMENT DRIVERS

- Commodity prices
- Capex and capital efficiency
- Delaware Basin oil production
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Raise \$1 B merger synergies target or pull forward timeline
- Progress on asset sales and a clearer strategy on portfolio composition
- Better than expected well results
- Higher commodity prices
- Service cost deflation

RISKS TO DOWNSIDE

- Not delivering the \$1 B merger synergies target by YE27
- Weak execution on integration
- Worse than expected well results
- Lower commodity prices
- Service cost inflation

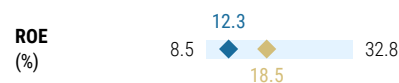
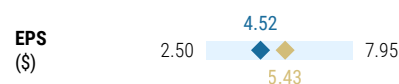
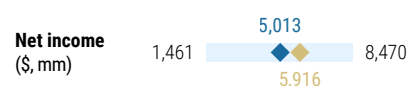
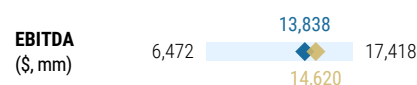
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.7%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

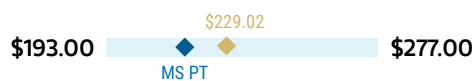
Risk Reward – Diamondback Energy Inc (FANG.O)

Low cost of supply supporting high FCF yield and deleveraging

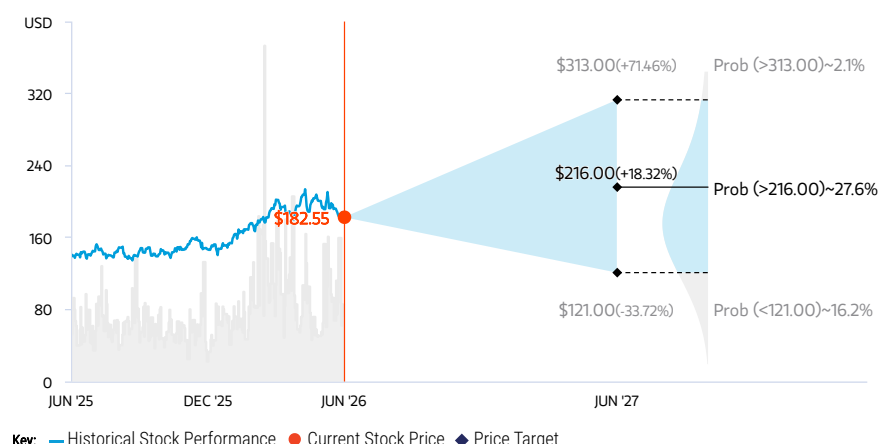
PRICE TARGET \$216.00

Base case of \$216/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$214/share) and 2) our NAV of \$218/share.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

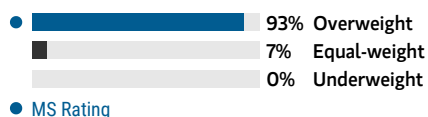


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Low cost of supply relative to peers.** FANG's 2026 FCF breakeven price of ~\$39 (post-base dividend), one of the lowest in our coverage, fortifying FANG as one of the lowest-cost producers in the Permian.
- **Strong FCF generation through the cycle.** We estimate FANG's FCF yield above peers' median, driven by strong capital efficiency gains, Endeavor synergies trending ahead of plan, and FCF accretion from the Double Eagle acquisition.
- **Focus on lower leverage and strong shareholder returns.** While FANG's consolidated net debt is expected to increase post the Double Eagle deal and VNOM/Sitio merger, we expect net debt to fall <\$10 B by YE26 at prices near strip.

Consensus Rating Distribution



BULL CASE

\$313.00

6.8x 2027 EV/EBITDA

Long-term (2027+) Bull Price deck: WTI \$90, HH \$4.25. Bull case of \$313/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$324/share) and 2) our NAV of \$302/share. This blended \$313/share bull case equates to 6.8x 2027 EV/EBITDAX.

BASE CASE

\$216.00

7.2x 2027 EV/EBITDA

Long-term (2027+) Base Price deck: WTI \$70, HH \$3.75. Base case of \$216/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$214/share) and 2) our NAV of \$218/share. This blended \$216/share base case equates to 7.2x 2027 EV/EBITDAX.

BEAR CASE

\$121.00

5.9x 2027 EV/EBITDA

Long-term (2027+) Bear Price deck: WTI \$50, HH \$3.25. Bear case of \$121/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$108/share) and 2) our NAV of \$134/share. This blended \$121/share bear case equates to 5.9x 2027 EV/EBITDAX.

Risk Reward – Diamondback Energy Inc (FANG.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (MBbl/d)	497	525	535	541
Total Production (MBoe/d)	921	980	990	1,000
Realized Oil Price (\$/Bbl)	63.14	77.45	68.37	68.73
Realized Gas Price (\$/Mcf)	1.84	0.77	2.12	2.30
EBITDAX Margin (\$/Boe)	30.56	35.22	32.01	32.53

INVESTMENT DRIVERS

- Cost efficiencies in drilling & completing wells
- Increasing return of cash to shareholders
- Capital discipline in higher oil price scenarios

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Reduction of operating and development costs
- Improvements to well productivity

RISKS TO DOWNSIDE

- Increased leverage
- Poor execution

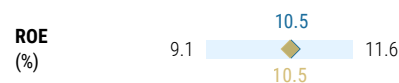
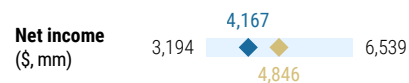
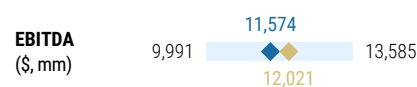
OWNERSHIP POSITIONING

Inst. Owners, % Active	50.7%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

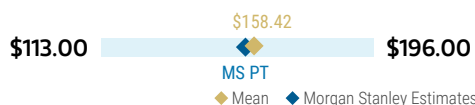
Risk Reward – EOG Resources Inc (EOG.N)

Capital efficiency supports resilient through-the-cycle free cash flow

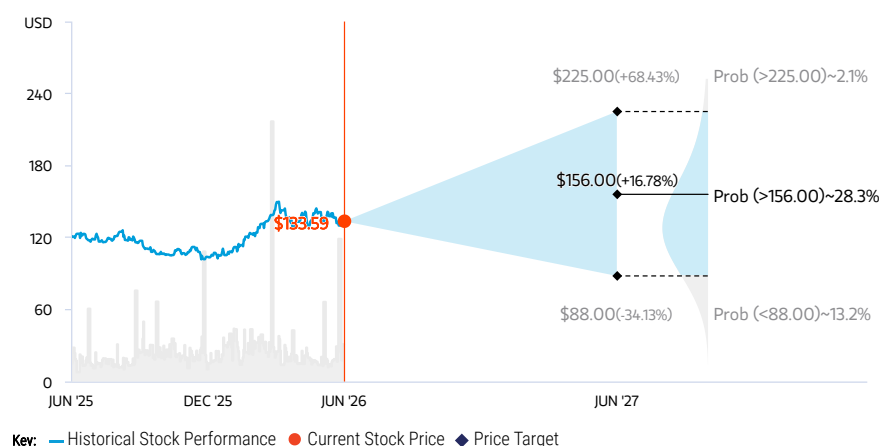
PRICE TARGET \$156.00

Base case of \$156/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$163/sh) and 2) our NAV of \$148/sh.

Consensus Price Target Distribution



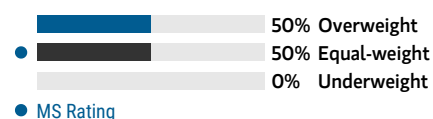
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



EQUAL-WEIGHT THESIS

- We believe **more execution and data is still needed to prove that the Utica** can stand alongside other "foundational" plays like the Eagle Ford & Delaware.
- In the current uncertain market backdrop, we expect the company to **remain a defensive staple within the sector** due to its scale, strong balance sheet, and higher gas exposure relative to large cap peers.

Consensus Rating Distribution



BULL CASE \$225.00

6.3 2027e EV/EBITDA

Long-term (2027+) Bull Price Deck: WTI: **\$90**, HH **\$4.25**. Bull case of \$225/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$227/sh) and 2) our NAV of \$222/sh. This blended \$225/sh bull case equates to 6.3x 2027e EV/EBITDA.

BASE CASE \$156.00

5.9x 2027e EV/EBITDA

Long-term (2027+) Base Price Deck: WTI: **\$70**, HH **\$3.75**. Base case of \$156/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$163/sh) and 2) our NAV of \$148/sh. This blended \$156/sh base case equates to 5.9x 2027e EV/EBITDA.

BEAR CASE \$88.00

5.3x 2027e EV/EBITDA

Long-term (2027+) Bear Price Deck: WTI: **\$50**, HH **\$3.25**. Bear case of \$88/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$102/sh) and 2) our NAV of \$75/sh. This blended \$88/sh bear case equates to 5.3x 2027e EV/EBITDA.

Risk Reward – EOG Resources Inc (EOG.N)

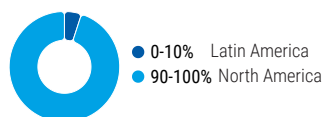
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (MBbl/d)	522	549	553	561
Total Production (MBoe/d)	1,232	1,399	1,445	1,491
Realized Oil Price (\$/Bbl)	65.62	81.28	72.56	71.50
Realized Gas Price (\$/Mcf)	3.02	3.46	3.43	3.33
EBITDAX Margin (\$/Boe)	26.67	31.97	27.62	26.75

INVESTMENT DRIVERS

- Commodity prices
- Pace of additions to premium inventory count
- "Premium" drilling program with wells generating >30% returns at \$40 WTI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than anticipated reductions in well costs
- Announcement of new premium play
- Announcement of accelerated dividend growth or stock repurchase program

RISKS TO DOWNSIDE

- Fewer than expected additions to premium inventory
- Premium locations do not perform as expected
- Restrictions to operating on Federal acreage

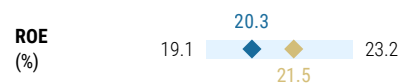
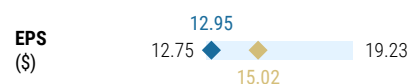
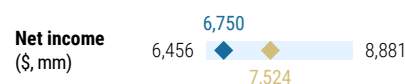
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.5%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – EQT Corp. (EQT.N)

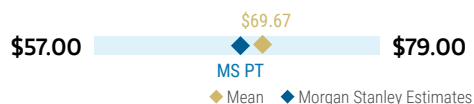
Resilient FCF with further upside ahead

PRICE TARGET \$68.00

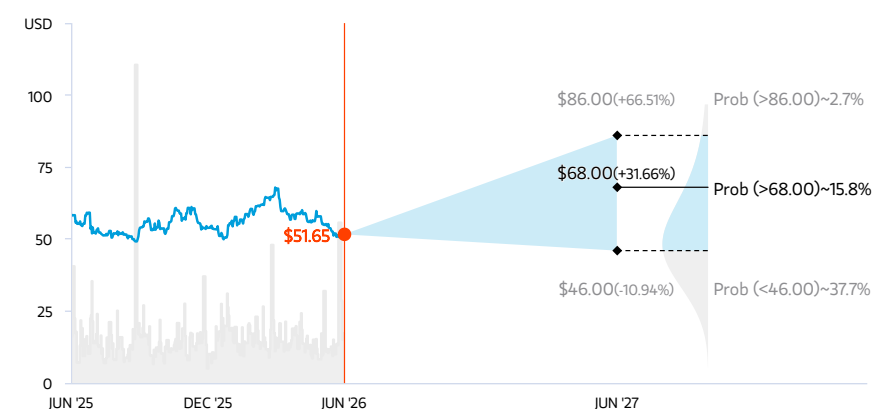
Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$68/share is a 50/50 blend of 1) 7.0x 2027e E&P EV/EBITDA of \$65/sh and 2) net asset value (NAV) of \$71/sh (10% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



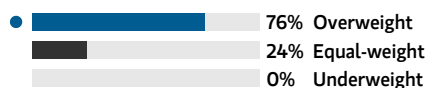
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- EQT's peer leading cost structure (\$2.00 breakeven, falling to \$1.80-1.90 over time) and vertical integration are key differentiators vs peers
- We expect shares to continue to re-rate as management executes on further deleveraging, delivery of "upside" synergies, and strategic growth (including potential midstream & power opportunities)
- Differentiated exposure to rising demand from LNG and Power, with a track record of premium-priced gas sales to utilities for power generation needs

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$86.00

7.0x 2027e EBITDA

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Bull case of \$86/share is a 50/50 blend of 1) 7.0x 2027e E&P EV/EBITDA of \$83/sh and 2) net asset value (NAV) of \$89/sh.

BASE CASE

\$68.00

6.4x 2027e EBITDAX

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$68/share is a 50/50 blend of 1) 7.0x 2027e E&P EV/EBITDA of \$65/sh and 2) net asset value (NAV) of \$71/sh (10% discount rate).

BEAR CASE

\$46.00

5.1x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$46/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$40/sh and 2) net asset value (NAV) of \$53/sh.

Risk Reward – EQT Corp. (EQT.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	6,133	6,111	6,145	6,429
Total Production (Mboe/d)	1,088	1,085	1,094	1,146
Realized Oil Price (\$)	49.09	64.76	56.83	56.83
Realized Gas Price (\$)	3.08	3.42	3.36	3.78
EBITDAX Margin per Boe (\$, mm)	15.06	16.17	15.42	17.90

INVESTMENT DRIVERS

- Commodity prices
- Capex & Capital efficiency
- Firm takeaway optimization

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Improved well performance
- Service cost deflation
- Optimization of firm takeaway

RISKS TO DOWNSIDE

- Lower commodity prices
- Service cost inflation

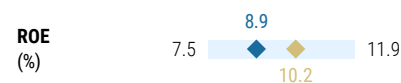
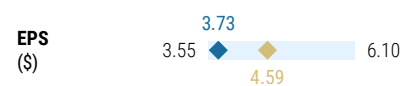
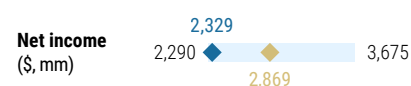
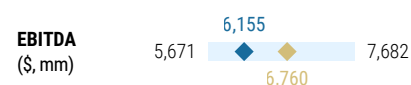
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.9%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Exxon Mobil Corporation (XOM.N)

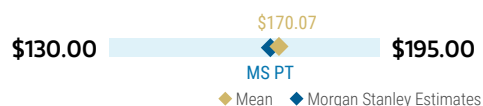
Pipeline of attractive projects combined with cost cuts drives cash flow growth.

PRICE TARGET \$168.00

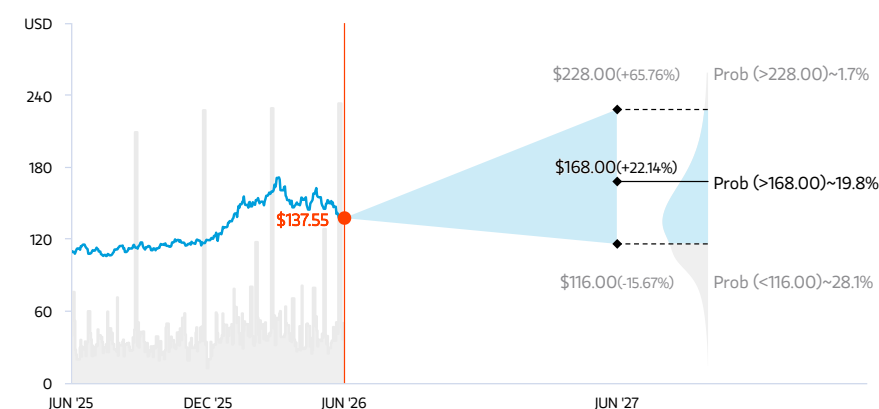
Base case of \$168/share which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (\$168/share) and 2) our discounted cash flow value of \$167/share (with a WACC of 8.0% and terminal EV/EBITDA multiple of 6.6x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



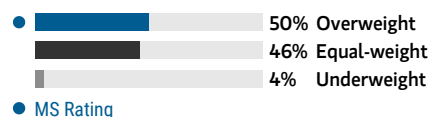
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Attractive growth.** Earnings should rise by >\$25 B over 2024-2030 (at \$65/bbl Brent), driving a compelling CAGR of ~13%, while CFO would grow at ~10% annually. This is supported by advantaged upstream volume expansion, delivery of high-value projects in Product Solutions, and >\$5 B of additional structural cost savings.
- **Compelling valuation.** XOM trades at a 9% FCF 2027 yield at \$70/bbl WTI, ~2x the broader market despite offering comparable growth to large cap stocks in the S&P 500.
- **Resiliency to lower prices.** XOM's large global integrated operations and strong balance sheet (0.0x 2027 net leverage) make it a clear defensive play in an uncertain macro backdrop

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Renewable Energy: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$228.00

10.3x 2027e EV/DACF of \$96 B

Bull case of \$228/sh is based on a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (\$230/share) and 2) our discounted cash flow value of \$188/share. Scenario assumes \$90.00 WTI, \$95.00 Brent, \$4.25 Henry Hub, and refining, specialty, & chemicals margins increase ~10%.

BASE CASE

\$168.00

8.8x 2027e EV/DACF of \$84.2 B

Base case of \$168/share which is a 50/50 blend of 1) a target multiple of 8.0x 2027e EV/DACF (\$168/share) and 2) our discounted cash flow value of \$167/share (with a WACC of 8.0% and terminal EV/EBITDA multiple of 6.6x). Scenario assumes long-term (2028+) \$70.00 WTI, \$75.00 Brent, \$3.75 Henry Hub.

BEAR CASE

\$116.00

9.1x 2027e EV/DACF of \$57 B

Bear case of \$116/sh is based on a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (\$124/share) and 2) our discounted cash flow value of \$108/share. Scenario assumes \$50.00 WTI, \$55.00 Brent, \$3.25 Henry Hub, and refining, specialty, & chemicals margins decline ~10%.

Risk Reward – Exxon Mobil Corporation (XOM.N)

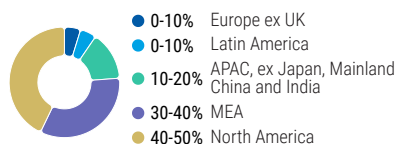
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	2,716	2,793	3,091	3,198
Total Production (Mboe/d)	4,735	4,657	5,051	5,207
Realized Oil Price (\$)	60.39	75.73	67.44	67.59
Realized Gas Price (\$)	6.38	5.62	5.24	4.83
EBITDA Margin per Boe (\$)	39.49	55.62	53.07	54.34

INVESTMENT DRIVERS

- Capex
- Capital efficiency
- Commodity prices including oil & gas, LNG, crack spreads, and chemicals margins
- Major capital projects including Guyana, Permian, Brazil, Papua New Guinea LNG, Mozambique

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices, including liquefied natural gas (LNG)
- Successful execution of major capital projects
- Permian well performance improvements
- Additional cost cuts

RISKS TO DOWNSIDE

- Lower commodity prices
- Cost overruns on major capital projects
- Service cost inflation in the Permian erodes returns
- Geopolitical risk could impact production volumes and/or returns; Guyana is a particular focus now.

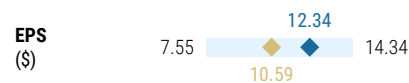
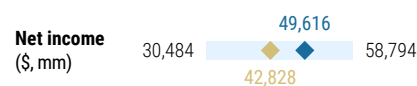
OWNERSHIP POSITIONING

Inst. Owners, % Active	46.8%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Imperial Oil Ltd (IMO.TO)

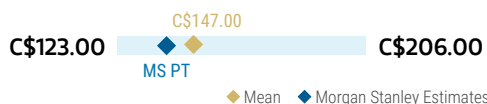
Competitive downstream but premium valuation priced in

PRICE TARGET C\$138.00

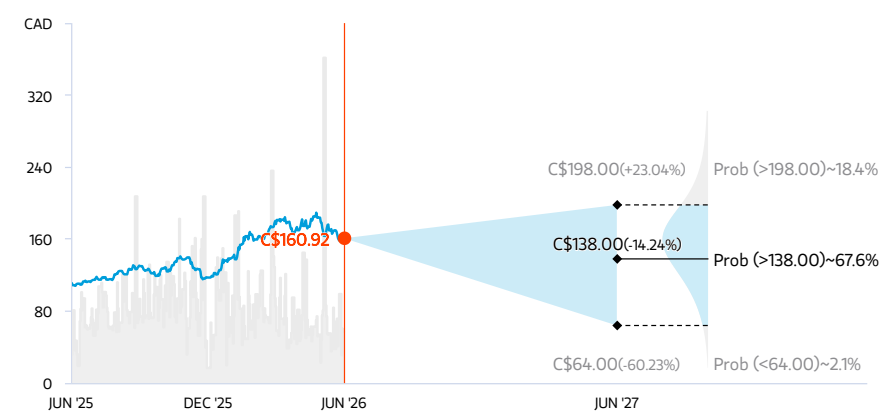
Base case of C\$138/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$146/share) and 2) our discounted cash flow value of C\$130/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 6.8x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



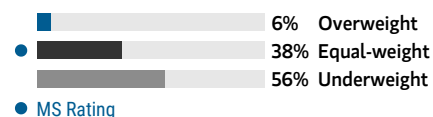
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- A peer-leading balance sheet and strong downstream assets (3 refineries spanning eastern and western Canada) should allow the company to continue its strong cash flow generation. However, we note high capex in 2026-29 (~C\$1.9 B) limits FCF upside. Additionally, the stock trades at a premium vs Canadian peers, which we think fairly prices in the advantaged balance sheet and downstream assets on a relative basis.
- IMO is still in the early stages of its new energies investment, but we note the renewable diesel facility at Strathcona (20 Mbbl/d capacity) provides leverage to the upside.
- IMO trades at a 2027 EV/DACF of 6.8X, well above the peer average of 5.8X.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

C\$198.00

9.8x 2027e DACF of C\$10.2 B

Bull case of C\$198/sh which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (C\$198/share) and 2) our discounted cash flow value of C\$197/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 7.3x). Assumes long-term (2027+) prices of US\$95 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2024-2030.

BASE CASE

C\$138.00

8.0x 2027e DACF

Base case of C\$138/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$146/share) and 2) our discounted cash flow value of C\$130 share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 6.8x). Assumes long-term (2028+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$64.00

7.6x 2027e DACF of C\$4.5 B

Bear case of C\$64/sh which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (C\$71/share) and 2) our discounted cash flow value of C\$57/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 5.0x). Assumes long-term (2027+) prices of US\$55 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

Risk Reward – Imperial Oil Ltd (IMO.TO)

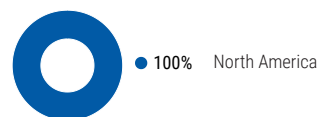
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Production (Mboe/d)	438	444	463	468
Downstream Throughput (Mbbl/d)	402	394	401	401
Total Capex (C\$MM) (C\$)	2,027	2,078	1,812	1,839

INVESTMENT DRIVERS

- Integrated model
- Strong balance sheet
- Commitment to cost reduction via reliability enhancements

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Stronger than expected downstream margins
- NCIB acceleration and potential SIB

RISKS TO DOWNSIDE

- Commodity prices decline materially
- Material widening of WTI-WCS differentials
- Outspending capex guidance

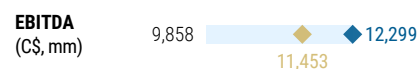
OWNERSHIP POSITIONING

Inst. Owners, % Active	77.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

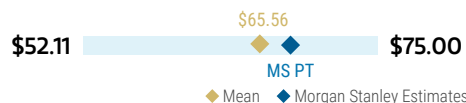
Risk Reward – Occidental Petroleum Corp (OXY.N)

In-line valuation but leverage is above peers

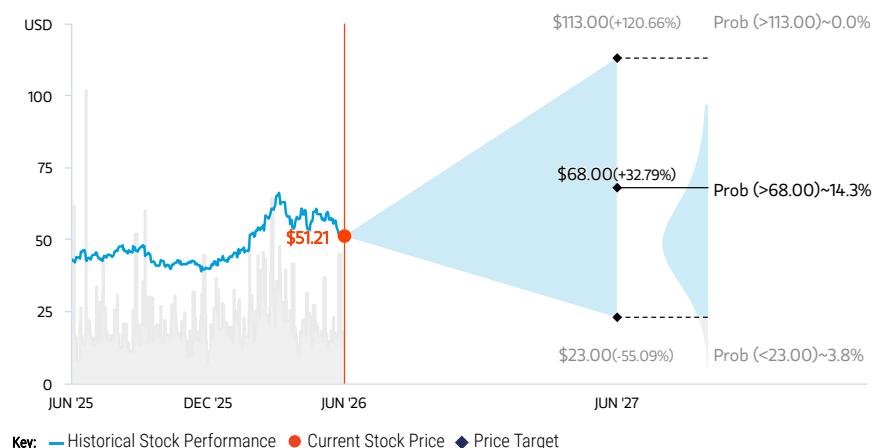
PRICE TARGET \$68.00

Long-term (2028+) base case price deck: WTI \$70, HH \$3.25. Base case is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$71/sh) and (2) net asset value (NAV) of \$65/sh.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

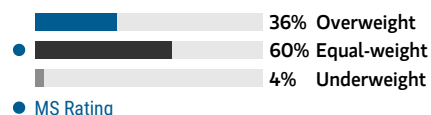
EQUAL-WEIGHT THESIS

■ **OXY is differentiated** by its high quality assets and LT growth potential through Low Carbon Ventures. That said, FCF/Equity is modestly below oil E&P average.

■ **OxyChem sale supports balance sheet, but reduces FCF.** The transaction is dilutive to our 2026-27 FCF/sh estimates, but accelerates debt reduction (0.5x lower pro-forma leverage) and pulls forward shareholder returns.

■ **Free option on low carbon growth.** OXY a leader in Direct Air Capture and has been active in helping hyperscalers decarbonize, including a recent 500,000 tonne deal with Microsoft. The stock reflects zero value for its low carbon business.

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$113.00

5.7x 2027e EBITDAX of \$19.4 B (incl. WES dists.)

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$101/sh) and (2) net asset value (NAV) of \$125/sh.

BASE CASE

\$68.00

5.1x 2027e EBITDAX of \$13.9 B (incl. WES dists.)

Long-term (2028+) base case price deck: WTI \$70, HH \$3.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$65/sh) and (2) net asset value (NAV) of \$71/sh.

BEAR CASE

\$23.00

4x 2027e EBITDAX of \$8.2 B (incl. WES dists.)

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$27/sh) and (2) net asset value (NAV) of \$19/sh.

Risk Reward – Occidental Petroleum Corp (OXY.N)

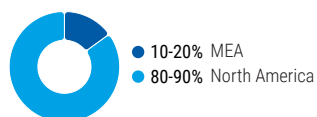
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbl/d)	729	729	746	782
Total Production (Mboe/d)	1,435	1,441	1,456	1,496
Realized Oil Price (\$)	64.59	75.31	69.06	69.11
Realized Gas Price (\$)	1.65	1.49	1.86	2.01
EBITDA Margin per Boe (\$)	21.97	28.17	24.60	25.67

INVESTMENT DRIVERS

- Commodity prices.
- Asst sale proceeds to reduce leverage.
- Capital efficiency.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices.
- Service cost deflation.
- Redeems preferred equity
- Resumes share repurchase program

RISKS TO DOWNSIDE

- Lower commodity prices.
- Service cost inflation.
- Regulatory risk in Colorado and global geopolitical risk.

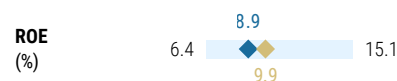
OWNERSHIP POSITIONING

Inst. Owners, % Active	46.1%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

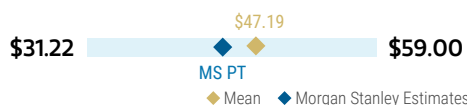
Risk Reward – Range Resources Corp. (RRC.N)

In-line valuation and capital efficient growth

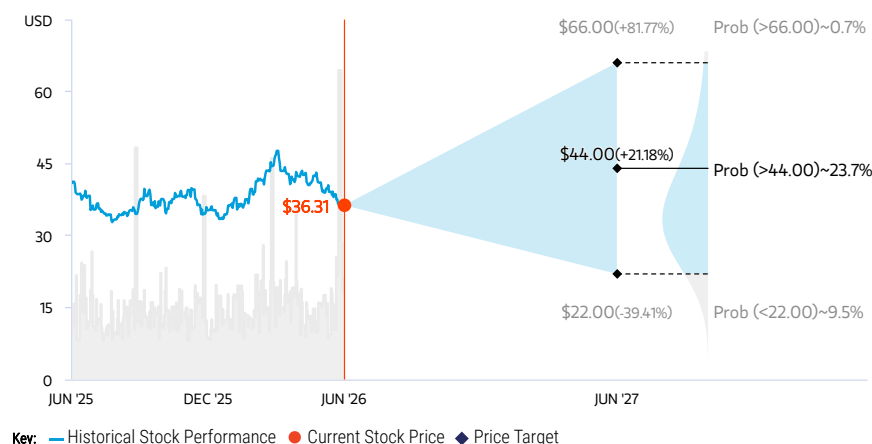
PRICE TARGET **\$44.00**

Price target is a 50/50 blend of 1) a target multiple of 7x 2027e EV/EBITDA (\$47/sh) and 2) our NAV of \$41/sh.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$66.00

6.49 2027e EV/EBITDAX of \$2.1 B

Long term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 7x 2027e EV/EBITDA (\$67/sh) and 2) our NAV of \$65/sh.

BASE CASE

\$44.00

6.5x 2027e EV/EBITDAX of \$1.6 B

Long term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 7x 2027e EV/EBITDA (\$47/sh) and 2) our NAV of \$41/sh.

BEAR CASE

\$22.00

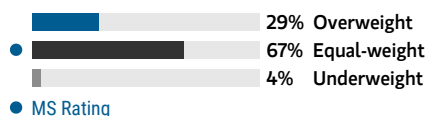
5.8x 2027e EV/EBITDAX of \$1 B

Long term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of 1) a target multiple of 7x 2027e EV/EBITDA (\$27/sh) and 2) our NAV of \$16/sh.

EQUAL-WEIGHT THESIS

- **In-line valuation and capital efficient growth.** RRC offers a 2026 FCF yield of 9%, in line with the peer median, with above-average growth over the next few years.
- **Access to export markets supports premium NGL realizations.** The company has realized a >\$1.50/bbl premium to Mont Belvieu over the last few years, a trend we expect to continue.
- **Shareholder returns near peers.** RRC offers a total return yield of ~2%, near the peer median. The company has an opportunistic approach to share buybacks and has low leverage.

Consensus Rating Distribution



Risk Reward – Range Resources Corp. (RRC.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	1,537	1,598	1,763	1,774
Total Production (MMcfe/d)	2,236	2,372	2,597	2,648
Realized Gas Price (\$)	3.29	3.36	3.24	3.37
EBITDAX Margin per Bcfe (\$)	1.76	1.83	1.66	1.75

INVESTMENT DRIVERS

- Commodity prices
- Capital efficiency
- Liquids production

GLOBAL REVENUE EXPOSURE



● 100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Service cost deflation
- Better than expected appraisal well results and well costs

RISKS TO DOWNSIDE

- Lower commodity prices
- Service cost inflation

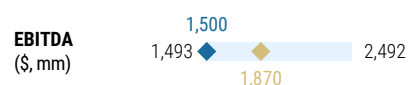
OWNERSHIP POSITIONING

Inst. Owners, % Active	58.8%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Northern Oil & Gas Inc. (NOG.N)

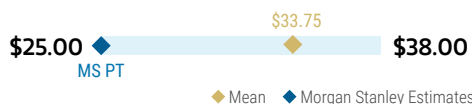
Acquisition-driven growth with less operational clarity vs peers

PRICE TARGET \$25.00

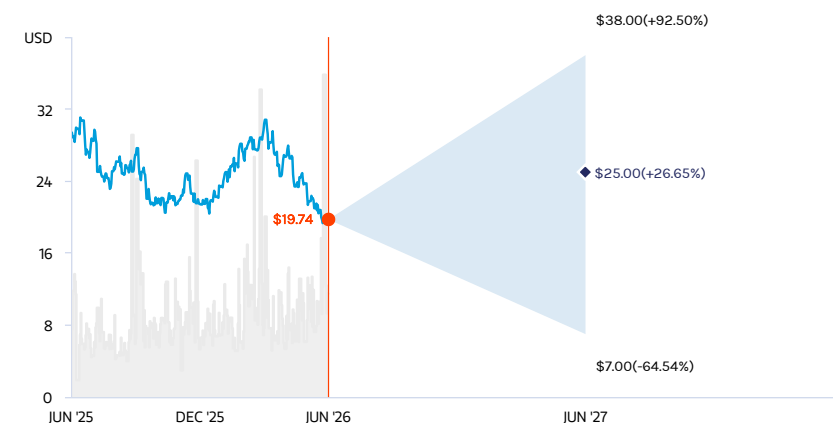
Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$25/sh is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$18/sh and 2) net asset value of \$32 (7.3% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



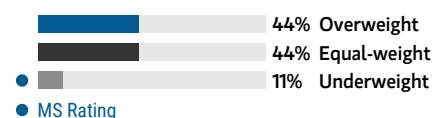
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Unique business model of non-operated oil & gas positions differs vs peers as NOG has interests in the Permian, Williston, Appalachian, and Uinta regions.
- Consistently raised dividends under a program initiated in 2021 and increased authorization in early 2025, but moderated growth expected.
- We see risk of further non-operated activity reductions in the event oil prices move lower.
- NOG has a lower FCF yield than peers in 2026 with higher leverage (1.6x vs oil median of 0.4x).

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$38.00

1.0x 2027e EBITDA

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Bull case is a 50/50 blend of 1) 2.0x 2027e EV/EBITDA of \$19/sh and 2) net asset value of \$57 (7.3% discount rate).

BASE CASE

\$25.00

0.1x 2027e EBITDA

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$25/sh is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$18/sh and 2) net asset value of \$32 (7.3% discount rate).

BEAR CASE

\$7.00

-2.5x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$7/sh is a 50/50 blend of 1) 4.0x 2027e EV/EBITDA of \$7/sh and 2) net asset value of \$6 (7.3% discount rate).

Risk Reward – Northern Oil & Gas Inc. (NOG.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	356	444	437	437
Total Production (Mboe/d)	135	146	147	147
Realized Oil Price (\$)	64.79	66.86	64.74	64.77
Realized Gas Price (\$)	3.33	2.46	2.47	2.82
EBITDAX Margin per Boe (\$, mm)	21.52	11.78	26.15	27.16

INVESTMENT DRIVERS

- Commodity prices
- Capex, capital efficiency, and production activity of operating partners
- Ability to execute on accretive M&A deals in key basins

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Heightened M&A activity accretive to key financial metrics
- Operator service cost deflation (via AFEs)

RISKS TO DOWNSIDE

- Lower commodity prices
- Operator service cost inflation (via AFEs)
- Production and M&A activity slows
- Production shifts by operational partners

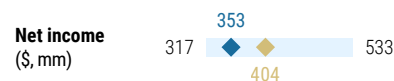
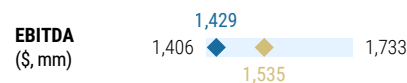
OWNERSHIP POSITIONING

Inst. Owners, % Active	49.5%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

Risk Reward – Matador Resources Co (MTDR.N)

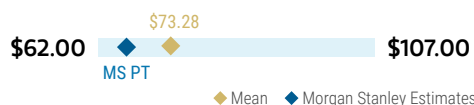
Focused Delaware growth supports strong FCF with modest shareholder returns

PRICE TARGET \$66.00

Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$66/sh) and 2) our NAV of \$69/sh.

Consensus Price Target Distribution

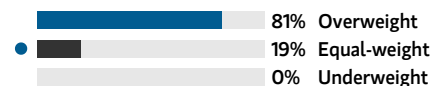
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

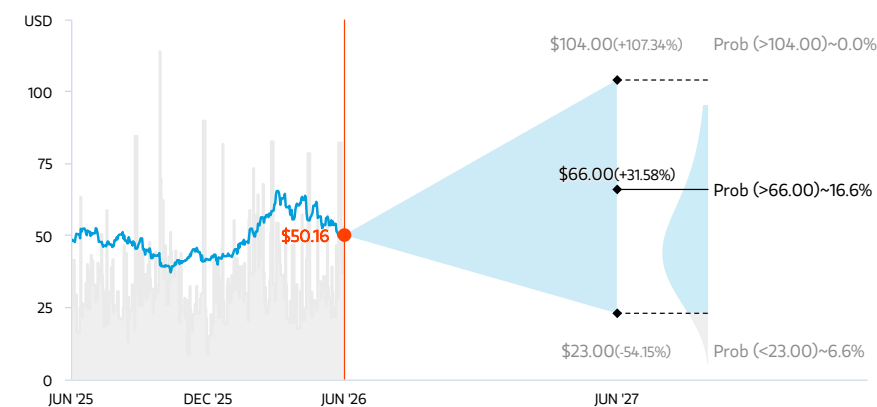
- **Integrated midstream operations provide a competitive advantage.** Besides providing MTDR with flow assurance, San Mateo Midstream JV (MTDR 51% stake) services third-party customers and generates positive cash flow. We estimate San Mateo to add ~\$10/sh of value to MTDR's NAV.
- **Modest shareholder returns at in-line valuation.** We estimate MTDR to trade in-line w/ peers on '26 EV/EBITDAX and offer a ~3% return yield in '26 vs 6% for peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$104.00

4.4x 2027e EV/EBITDAX

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$92/sh) and 2) our NAV of \$16/sh.

BASE CASE

\$66.00

4.1x 2027e EV/EBITDAX

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$64/sh) and 2) our NAV of \$69/sh.

BEAR CASE

\$23.00

3.7x 2027e EV/EBITDAX

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$27/sh) and 2) our NAV of \$20/sh.

Risk Reward – Matador Resources Co (MTDR.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (MBbl/d)	120	125	125	126
Total Production (MBoe/d)	207	215	219	222
Realized Oil Price (\$/Bbl)	65.00	73.33	70.00	70.00
Realized Gas Price (\$/Mcf)	2.20	1.52	2.90	3.12
EBITDAX Margin (\$/Boe)	30.36	32.51	32.38	32.71

INVESTMENT DRIVERS

- Commodity prices
- Capex
- Capital efficiency
- Return of cash
- Well performance
- Midstream assets performance

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Better well performance
- Service cost deflation
- M&A activity accretive to key financial metrics
- Accelerated return of cash through buybacks

RISKS TO DOWNSIDE

- Poor execution
- Lower commodity prices
- Service cost inflation
- Declining well performance

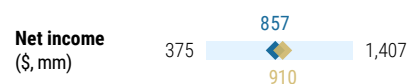
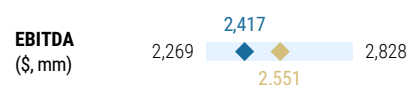
OWNERSHIP POSITIONING

Inst. Owners, % Active	50.8%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

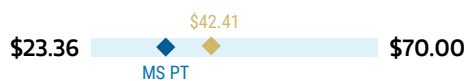
Risk Reward – Murphy Oil Corporation (MUR.N)

High exploration capex limits free cash flow in the near term

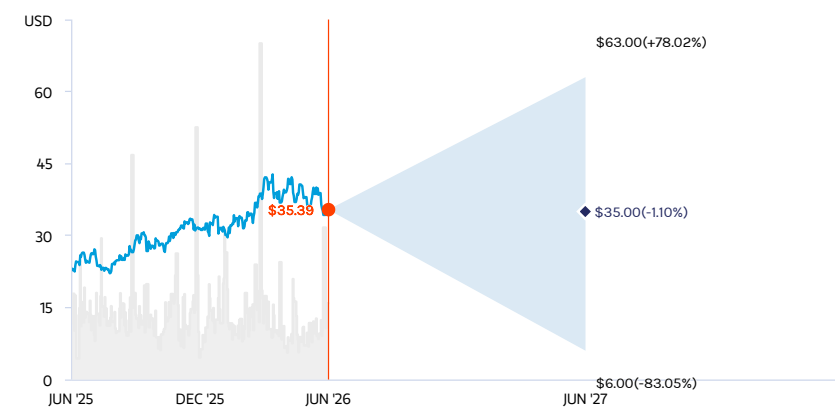
PRICE TARGET \$35.00

Base case of \$35/share which is a 50/50 blend of 1) a target multiple of 3.25x 2027e EV/EBITDA (\$33/share) and 2) our NAV of \$36/share (with a WACC of 12.1%).

Consensus Price Target Distribution



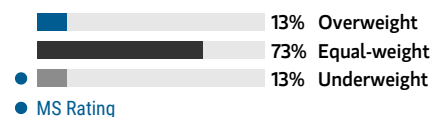
RISK REWARD CHART



UNDERWEIGHT THESIS

- **Diversified portfolio, with large offshore position.** MUR's portfolio mix of short (Eagle Ford, Montney) and long cycle opportunities (GoM, Canada) offers attractive investment opportunities but higher capex.
- **High capex limits near-term FCF.** While MUR's recent exploration success in Vietnam offers a source of longer-term upside, near-term FCF is limited by spending on longer-cycle projects and further exploration. We estimate 2026 FCF yield of 12% at \$88/bbl WTI vs 15% for oil E&Ps.

Consensus Rating Distribution



BULL CASE

\$63.00

3.8x 2027e EV/EBITDA

Bull 2027+ price deck: WTI \$90, Brent \$95, HH \$4.25. Bull case of \$70/share, which is a 50/50 blend of 1) a target multiple of 3.25x 2027e EV/EBITDA (\$58/share) and 2) our NAV of \$69/share (with a WACC of 12.1%).

BASE CASE

\$35.00

3.4x 2027e EV/EBITDA

Long-term (2027+) Base Price deck: WTI \$70, Brent \$75, HH \$3.75. Base case of \$35/share which is a 50/50 blend of 1) a target multiple of 3.25x 2027e EV/EBITDA (\$33/share) and 2) our NAV of \$36/share (with a WACC of 12.1%).

BEAR CASE

\$6.00

2.8x 2027e EV/EBITDA

Bear 2027+ Price deck: WTI \$50, Brent \$55, HH \$3.25. Bear case of \$6/share, which is a 50/50 blend of 1) a target multiple of 3.25x 2027e EV/EBITDA (\$9/share) and 2) our NAV of \$3/share (with a WACC of 12.1%).

Risk Reward – Murphy Oil Corporation (MUR.N)

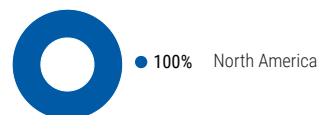
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	87	87	93	93
Total Production (Mboe/d)	182	173	185	190
Realized Oil Price (\$)	70.45	80.14	71.79	71.24
Realized Gas Price (\$)	2.07	2.41	2.59	2.85
EBITDA Margin per Boe (\$)	20.95	26.13	24.98	25.01

INVESTMENT DRIVERS

- Commodity prices
- Capex
- Capital efficiency
- Return of cash
- Major capital project execution including Gulf of Mexico and Eagle Ford
- Exploration results

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Better well performance in the Eagle Ford
- Exploration success in Brazil, Gulf of Mexico, and Vietnam

RISKS TO DOWNSIDE

- Lower commodity prices
- Cost inflation
- Capex overruns at major GoM projects
- Operational issues associated with Eagle Ford activity ramp

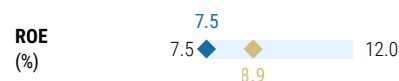
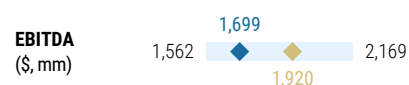
OWNERSHIP POSITIONING

Inst. Owners, % Active	40.3%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

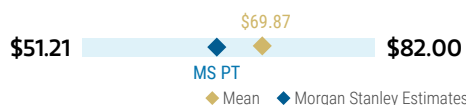
Risk Reward – Ovintiv Inc (OVV.N)

Capital efficient operator, in-line valuation

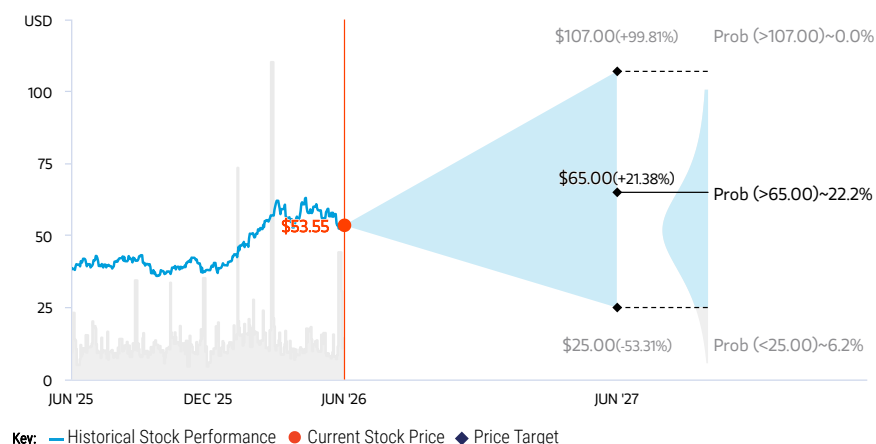
PRICE TARGET \$65.00

Price target is a 50/50 blend of 1) A multiple of 4.5x 2027e EV/EBITDA (\$65/sh) and 2) our NAV of \$65/sh.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

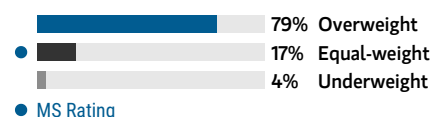


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- **OVV has outperformed oil E&P peers YTD** on strategic portfolio transformation, solid execution and enhanced shareholder return framework.
- **In-line valuation.** The company trades at a 2026 EV/EBITDA of 3.8x and FCF yield of 14%, near the oil E&P median of 14% and 3.8x.
- **Leverage improved to near peers.** Pro forma for the Anadarko divestiture, we estimate OVV's 2026E net debt/EBITDAX would fall from above-average to 0.7x, in line with peer median.

Consensus Rating Distribution



BULL CASE

\$107.00

4.6x 2027e EV/EBITDAX of \$6.3 B

Long term (2028+) Bull Price Deck: WTI \$90, and HH \$4.25. Bull case is a 50/50 blend of 1) a target multiple of 4.5x 2027e EV/EBITDA (\$105/sh) and 2) our NAV of \$110/sh.

BASE CASE

\$65.00

4.5x 2027e EV/EBITDAX of \$4.5 B

Long term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) A multiple of 4.5x 2027e EV/EBITDA (\$65/sh) and 2) our NAV of \$65/sh.

BEAR CASE

\$25.00

4.2x 2027e EV/EBITDA of \$2.7 B

Long term (2028+) Bear Price Deck: WTI \$50, and HH \$3.25. Bear case is a 50/50 blend of 1) a multiple of 4.5x 2027 EV/EBITDA (\$29/sh) and 2) our NAV of \$22/sh.

Risk Reward – Ovintiv Inc (OVV.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (MBoe/d)	143	119	109	110
Total Production (MBoe/d)	614	628	614	615
Realized Oil Price (\$/Bbl)	66.42	74.59	68.60	68.60
Realized Gas Price (\$/Mcf)	2.54	2.50	2.63	2.84
EBITDAX Margin (\$/Boe)	17.56	20.38	20.69	20.87

INVESTMENT DRIVERS

- STACK Cube results
- NFX acquisition synergies
- US domicile

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Service deflation
- Better than expected well performance
- Sustainable cost and operational efficiencies

RISKS TO DOWNSIDE

- Lower commodity prices
- Service inflation
- Worse than expected well performance
- Corporate production declines are higher than guided

OWNERSHIP POSITIONING

Inst. Owners, % Active	54.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (\$, mm)	8,516	9,475	10,507
		9,506	

EBITDA (\$, mm)	4,076	4,865	6,016
		5,282	

Net income (\$, mm)	964	1,873	2,560
		1,937	

EPS (\$)	6.13	6.89	9.58
		8.14	

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Expand Energy Corp (EXE.O)

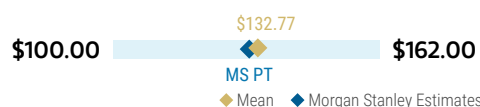
Attractive FCF growth from rising prices and efficiency gains in 2026

PRICE TARGET \$131.00

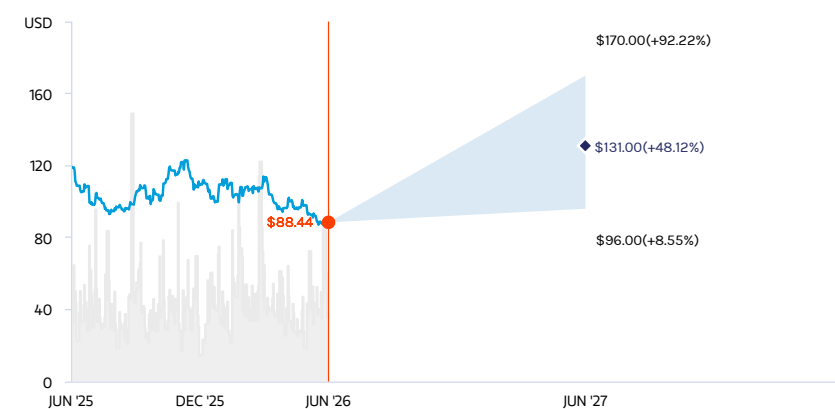
Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$133/sh) and 2) our NAV of \$129/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

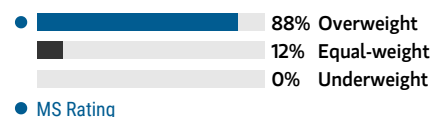
OVERWEIGHT THESIS

■ **EXE is the largest independent natural gas producer in the US**, well positioned to answer the call on the next growth cycle of gas supported by a diverse transportation portfolio and direct access to the Gulf Coast LNG corridor. Marketing & commercial segment could drive incremental value longer term.

■ **Rate of change from synergies realization.** EXE offers attractive FCF growth from rising prices and volumes in 2026. We estimate a 12% FCF yield in 2026, above peer median of 9%.

■ **Capital returns framework designed to return cash and reduce net debt.** We estimate a total return yield of 6% in 2026, above the gas E&P median of 4%.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$170.00

5.8x 2027e EV/EBITDA of \$6.7 B

Long term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$161/sh) and 2) our NAV of \$154/sh.

BASE CASE

\$131.00

5.6x 2027e EV/EBITDA of \$5.6 B

Long term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$129/sh) and 2) our NAV of \$133/sh.

BEAR CASE

\$96.00

5.2x 2027e EV/EBITDA of \$4.6 B

Long term (2028+) Base Price Deck: WTI \$50, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$101/sh) and 2) our NAV of \$91/sh.

Risk Reward – Expand Energy Corp (EXE.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (Mbbbl/d)	13	18	16	15
Total Production (Mboe/d)	1,189	1,251	1,272	1,291
Realized Oil Price (\$)	55.63	67.92	60.00	60.00
Realized Gas Price (\$)	3.16	3.38	3.26	3.41
EBITDA Margin per Boe (\$)	11.52	12.97	11.93	12.76

INVESTMENT DRIVERS

- Commodity prices
- Production and capex
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher natural gas prices
- Better than expected well costs and well performance

RISKS TO DOWNSIDE

- Lower natural gas prices
- Worse than expected well costs and well performance

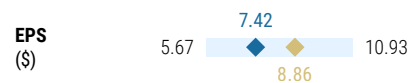
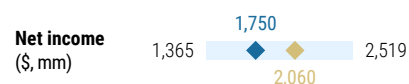
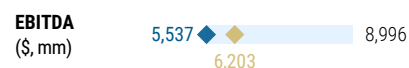
OWNERSHIP POSITIONING

Inst. Owners, % Active	54%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Tourmaline Oil Corp. (TOU.TO)

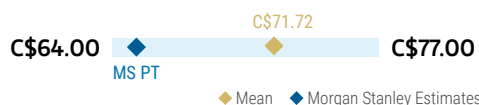
Differentiated Growth + Income model, but has meaningful AECO exposure

PRICE TARGET C\$65.00

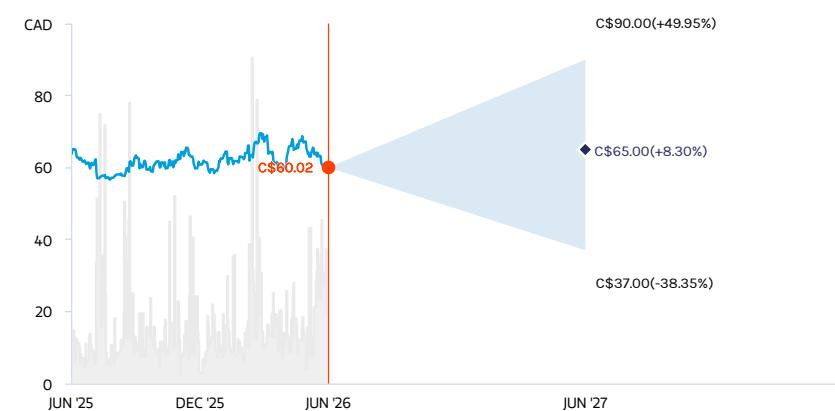
Long term (2028+) Base Price Deck: WTI US\$70, AECO US\$2.50. Price target is a 50/50 blend of 1) A multiple of 6.5x 2027e EV/EBITDA (C\$67/sh) and 2) our NAV of C\$62/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



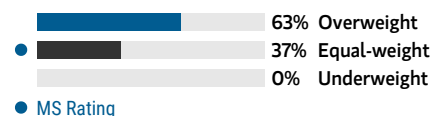
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- **TOU is the largest natural gas producer in Canada** with multiple decades of resource life and an active M&A strategy, driving a 5% production CAGR over the next five years.
- **Valuation screens slightly more expensive at 5% FCF yield vs peer median of 9% in 2026.** Excluding growth spending, which is more comparable with US peers, TOU would generate ~10% FCF yield in 2026.
- **TOU has meaningful exposure to AECO pricing.** The forward AECO differentials remain wide vs history, averaging ~US\$1.75/mmbtu over the next few years vs the 2014-24 average of ~\$1/mmbtu.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

C\$90.00

6.5x 2027e EV/EBITDAX

Long term (2028+) Base Price Deck: WTI US\$90, AECO US\$3.00. Price target is a 50/50 blend of 1) A multiple of 6.5x 2027e EV/EBITDA (C\$91/sh) and 2) our NAV of C\$90/sh.

BASE CASE

C\$65.00

6.3x 2027e EV/EBITDAX

Long term (2028+) Base Price Deck: WTI US\$70, AECO US\$2.50. Price target is a 50/50 blend of 1) A multiple of 6.5x 2027e EV/EBITDA (C\$67/sh) and 2) our NAV of C\$62/sh.

BEAR CASE

C\$37.00

5.6x 2027e EV/EBITDAX

Long term (2028+) Base Price Deck: WTI US\$50, AECO US\$2.00. Price target is a 50/50 blend of 1) A multiple of 6.5x 2027e EV/EBITDA (C\$44/sh) and 2) our NAV of C\$30/sh.

Risk Reward – Tourmaline Oil Corp. (TOU.TO)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Gas Production (MMcf/d)	2,946	3,030	3,221	3,373
Total Production (MMcfe/d)	3,829	3,771	4,043	4,274
Realized Gas Price (C\$)	3.62	3.93	4.34	4.84
EBITDAX Margin per Bcfe (C\$)	2.22	2.71	2.87	3.21

INVESTMENT DRIVERS

- Commodity prices
- Production and capex
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Better than expected well performance
- Execution on organic development projects

RISKS TO DOWNSIDE

- Lower commodity prices
- Worse than expected well performance
- Poor execution

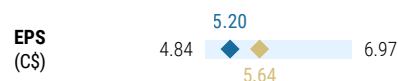
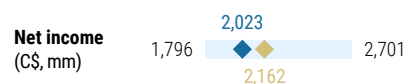
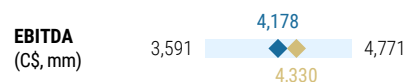
OWNERSHIP POSITIONING

Inst. Owners, % Active	62.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

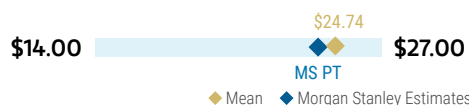
Risk Reward – Permian Resources Corp (PR.N)

Peer-leading well cost and attractive per-share growth

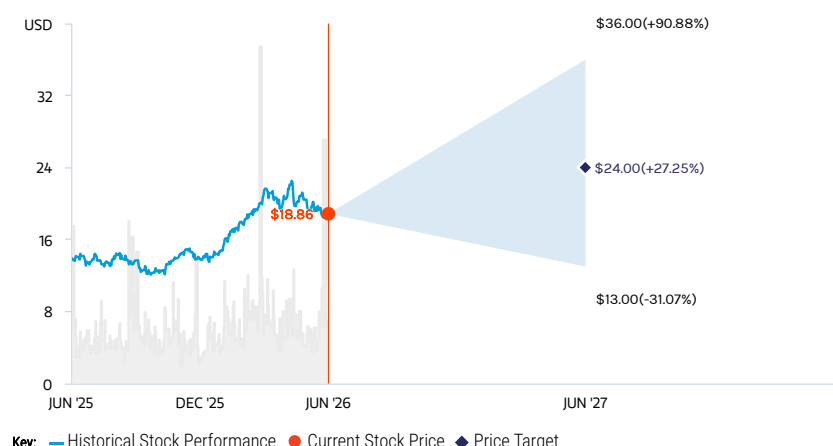
PRICE TARGET \$24.00

Price target of \$24/sh is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$28/sh) and 2) our NAV of \$20/sh.

Consensus Price Target Distribution



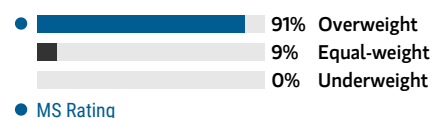
RISK REWARD CHART



OVERWEIGHT THESIS

- **Cost leadership.** PR has a drilling & completion cost of ~\$675/ft, the lowest vs Delaware Basin peers. The company estimates ~\$40s post-dividend corporate breakeven in 2025 at a maintenance program.
- **Peer-leading base dividend.** PR has one of the highest base dividend yield of >4% in our oil coverage.
- **As industry consolidation accelerated over the past couple of years, PR offers scarcity value** as one of the few pure-play Permian E&Ps with scale and one of the few shale operators with a growth-oriented strategy.

Consensus Rating Distribution



BULL CASE

\$36.00

3.9x 2027e EV/EBITDAX of \$6.4 B

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$40/sh) and 2) our NAV of \$33/sh.

BASE CASE

\$24.00

4.3x 2027e EV/EBITDAX of \$4.9 B

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$28/sh) and 2) our NAV of \$20/sh.

BEAR CASE

\$13.00

3.7x 2027e EV/EBITDAX of \$3.5 B

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$18/sh) and 2) our NAV of \$7/sh.

Risk Reward – Permian Resources Corp (PR.N)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Oil Production (MBbl/d)	182	195	200	202
Total Production (MBoe/d)	393	413	417	423
Realized Oil Price (\$/Bbl)	66.29	72.05	68.73	68.60
Realized Gas Price (\$/Mcf)	1.08	1.15	2.72	2.76
EBITDAX Margin (\$/Boe)	27.26	30.90	32.00	32.00

INVESTMENT DRIVERS

- Commodity prices
- Production and capex
- Delaware Basin oil production
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Well cost reduction
- Well performance improvement

RISKS TO DOWNSIDE

- Lower commodity prices
- Poor execution

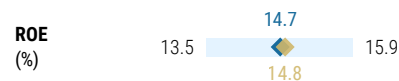
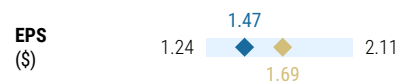
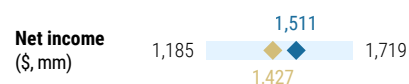
OWNERSHIP POSITIONING

Inst. Owners, % Active	62.1%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Viper Energy Inc (VNOM.O)

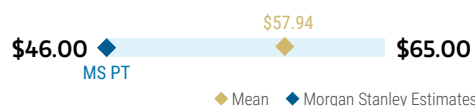
Strong oil production growth with no drilling and completion capex risk.

PRICE TARGET \$46.00

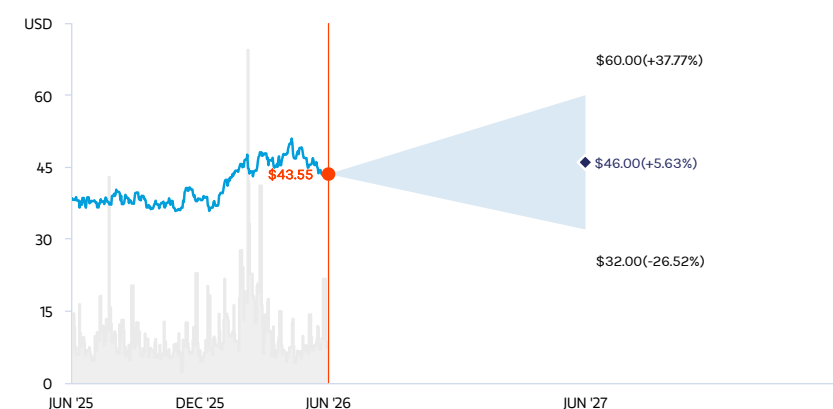
Base case of \$46/share which is a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$47/share) and 2) our discounted cash flow value of \$46/share (with a WACC of 8.0% and terminal EV/EBITDA multiple of 5.7x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



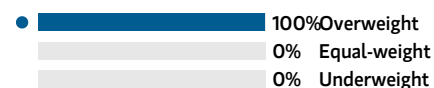
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We estimate **VNOM to trade in-line with oil E&Ps** on 2027 FCF yield and shareholder returns..
- **Above average multi-year growth outlook at no D&C capex risk.** VNOM offers a superior oil production growth relative to oil E&Ps at zero drilling and completion (D&C) capital requirement.
- **Superior EBITDA margins.** Viper generated one of the highest 2026 EBITDA margins among mineral peers due to its lower cost structure and oil-weighted production mix.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$60.00

5.3x 2027e EV/EBITDA

Bull case of \$60 is based on a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$61/share) and 2) our discounted cash flow value of \$59/share. Scenario assumes \$90.00 WTI, \$4.25 Henry Hub.

BASE CASE

\$46.00

5.5x 2027e EV/EBITDA

Base case of \$46/share which is a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$47/share) and 2) our discounted cash flow value of 46/share. Scenario assumes long-term (2027+) \$70.00 WTI, \$3.75 Henry Hub.

BEAR CASE

\$32.00

5.7x 2027e EV/EBITDA

Bear case of \$32 is based on a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$32/share) and 2) our discounted cash flow value of \$33/share. Scenario assumes \$50.00 WTI, \$3.25 Henry Hub.

Risk Reward – Viper Energy Inc (VNOM.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Production (Mboe/d) (mm)	95.1	129.8	135.2	143.1
Gas Production (MMcf/d) (mm)	142	192	194	205
Realized Oil Price (\$)	63.27	77.81	69.67	69.67
Realized Gas Price (\$)	1.92	1.03	1.58	2.00
EBITDAX Margin per Boe (\$)	36.29	42.02	39.17	39.89

INVESTMENT DRIVERS

- Commodity prices
- Production growth
- Return of capital
- Deleveraging

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Increased operator drilling leading to higher production volumes
- Heightened M&A activity accretive to key financial metrics

RISKS TO DOWNSIDE

- Lower commodity prices
- Production and M&A activity slows
- Production shifts by operational partners

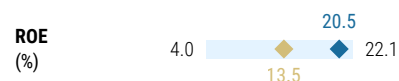
OWNERSHIP POSITIONING

Inst. Owners, % Active	69.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Suncor Energy Inc (SU.TO)

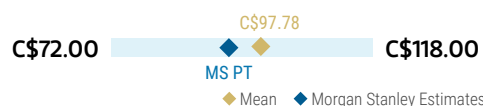
Solid FCF unlock and asset integration at fair valuation.

PRICE TARGET C\$92.00

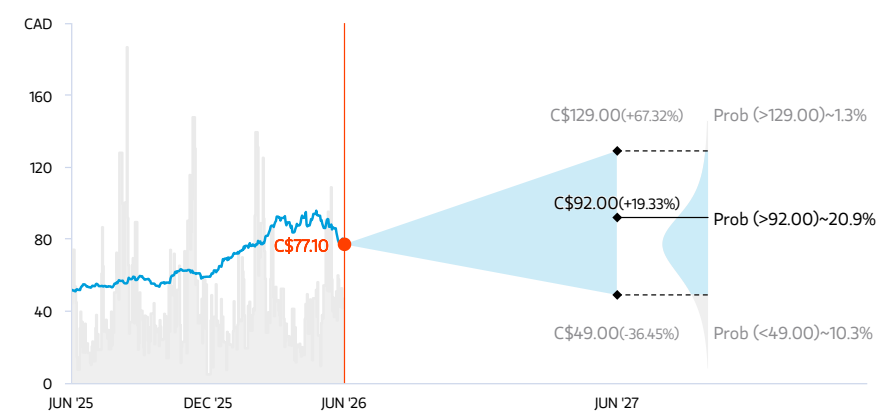
Base case of C\$92/share which is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/DACF (C\$95/share) and 2) our discounted cash flow value of C\$89/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 5.3x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 25 Jun 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

C\$129.00

8.9x 2027e DACF of C\$18.4 B

Bull case of C\$129/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$135/share) and 2) our discounted cash flow value of C\$122/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 6.0x). Assumes long-term (2027+) prices of US\$95.0 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2022-2030.

BASE CASE

C\$92.00

7.2x 2027e DACF.

Base case of C\$92/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$95/share) and 2) our discounted cash flow value of C\$89/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 5.4x). Assumes long-term (2027+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$49.00

7.2x 2027e DACF of C\$9.6 B

Bear case of C\$49/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$60/share) and 2) our discounted cash flow value of C\$37/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 3.6x). Assumes long-term (2027+) prices of US\$55.00 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

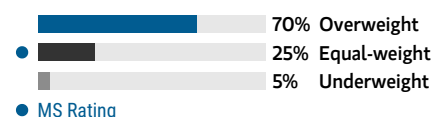
EQUAL-WEIGHT THESIS

■ **Valuation.** Since the start of 2024, SU has outperformed Canadian peers ~16% on the back of a series of strong quarterly results, and higher shareholder returns. We now estimate '27 FCF yield of ~11%, in-line with the peer average.

■ **More growth and visibility.** The '26 investor day outlined C\$2 B of FFF growth (at \$65 WTI) through 2028 and a \$5 dollar reduction in WTI breakeven. SU also provided visibility to long term bitumen supply options into next decade.

■ **Shareholder returns.** SU trades at a 11% 2027E total shareholder return yield, higher than the peer average of 8%.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Suncor Energy Inc (SU.TO)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total Production (Mboe/d)	860	864	912	965
Downstream Throughput (Mbbl/d)	480	475	478	478
Total Capex (C\$MM) (C\$)	5,658	5,692	5,645	5,679

INVESTMENT DRIVERS

- Integrated model
- Well-developed cash return and capital allocation strategy
- Peer-leading renewables expansion plan; allocating ~10% of annual budget on investments advancing low-carbon energy offerings

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Increasing cash returns
- Further expansion into renewables
- Accelerated achievement of breakeven reduction

RISKS TO DOWNSIDE

- Commodity prices decline materially
- Downstream margins narrow
- Capital cost inflation, execution risk on renewables projects, and geopolitical risks

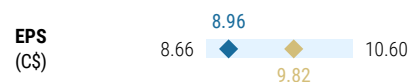
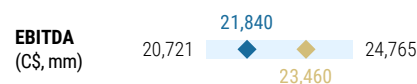
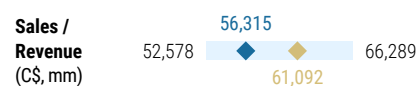
OWNERSHIP POSITIONING

Inst. Owners, % Active	66.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.7%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Jacqueline M Kenny; Joe Laetsch, CFA; Helen Lin; Devin McDermott.

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Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Cheniere Energy Inc, Chevron Corporation, CNX Resources Corp, Diamondback Energy Inc, EOG Resources Inc, Murphy Oil Corporation, Northern Oil & Gas Inc., Permian Resources Corp, Viper Energy Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Cheniere Energy Inc, Chevron Corporation, CNX Resources Corp, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, Expand Energy Corp, Murphy Oil Corporation, Northern Oil & Gas Inc., Permian Resources Corp, Viper Energy Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Antero Resources Corp, APA Corp, Cenovus Energy, Cheniere Energy Inc, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Matador Resources Co, Murphy Oil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp., Venture Global Inc, Viper Energy Inc.

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Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Antero Resources Corp, APA Corp, Cenovus Energy, Cheniere Energy Inc, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Matador Resources Co, Murphy Oil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp., Venture Global Inc, Viper Energy Inc.

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ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Exploration & Production

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/25/2026)
Devin McDermott		
Antero Resources Corp (AR.N)	O (04/17/2024)	\$34.50
APA Corp (APA.O)	U (04/15/2024)	\$33.42
Chord Energy Corporation (CHRD.O)	O (03/27/2026)	\$119.48
CNX Resources Corp (CNX.N)	U (01/10/2025)	\$33.61
Comstock Resources Inc. (CRK.N)	E (01/10/2025)	\$13.87
ConocoPhillips (COP.N)	O (12/16/2024)	\$106.41
Devon Energy Corp (DVN.N)	O (12/11/2023)	\$42.60
Diamondback Energy Inc (FANG.O)	O (12/11/2020)	\$182.55
EOG Resources Inc (EOG.N)	E (12/11/2023)	\$133.59
EQT Corp. (EQT.N)	O (11/18/2021)	\$51.65
Expand Energy Corp (EXE.O)	O (01/10/2025)	\$88.44
Matador Resources Co (MTDR.N)	E (01/10/2025)	\$50.16
Murphy Oil Corporation (MUR.N)	U (01/22/2025)	\$35.39
Northern Oil & Gas Inc. (NOG.N)	U (08/18/2025)	\$19.74
Occidental Petroleum Corp (OXY.N)	E (08/18/2025)	\$51.21
Ovintiv Inc (OVV.N)	E (03/27/2026)	\$53.55
Permian Resources Corp (PR.N)	O (01/10/2025)	\$18.86
Range Resources Corp. (RRC.N)	E (03/26/2025)	\$36.31

Tourmaline Oil Corp. (TOU.TO)	E (01/10/2025)	C\$60.02
Viper Energy Inc (VNOM.O)	O (08/18/2025)	\$43.55

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Integrated Energy

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/25/2026)
Devin McDermott		
Canadian Natural Resources Ltd (CNQ.TO)	E (10/07/2021)	C\$56.19
Cenovus Energy (CVE.TO)	O (10/07/2021)	C\$34.96
Chevron Corporation (CVX.N)	O (08/04/2025)	\$172.24
Exxon Mobil Corporation (XOM.N)	O (05/14/2024)	\$137.55
Imperial Oil Ltd (IMO.TO)	E (10/07/2021)	C\$160.92
Suncor Energy Inc (SU.TO)	E (12/16/2024)	C\$77.10

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